Space Energy Access Systems, Inc. (SEAS)

Space Energy Access Systems, Inc.

[redacted]

Confidentiality Agreement

The undersigned reader acknowledges that the information provided by _______________ in this business plan is confidential; therefore, reader agrees not to disclose it without the express written permission of _______________.

It is acknowledged by reader that information to be furnished in this business plan is in all respects confidential in nature, other than information which is in the public domain through other means and that any disclosure or use of same by reader, may cause serious harm or damage to _______________.

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Date

This is a business plan. It does not imply an offering of securities.

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Appendix

1.0 Vision

"If not us, who? If not now, when?"

For nearly a century, men have understood how to extract energy from space and eliminate our depend fossil fuels. Control interests have systematically thwarted such men, using a combination of financial inducements, political maneuverings and threats?even deadly force.

Such savagery and ruthlessness have condemned most of the world's population to abject poverty, a kir slavery to the effort for simple survival. Even in the so-called developed countries, few people are mor three months' wages away from homelessness.

Now, however, the continuing and accelerating degradation of the environment by ever-increasing reliɛ fossil fuels is making a paradigm shift mandatory. A shift from fossil fuels to space energy may literall; world for humanity and numerous other species.

We propose a new paradigm. The control interests know we cannot be purchased. They have tried, and Some of them will therefore attempt to forcibly suppress us, as they have others. But our approach is to new. Where others have tried secrecy, we are bold and open. Our CEO is highly visible and well-know cannot be made to disappear without serious consequences. Further, some among the control interests ł determined that planned disclosure is the only sane course, and have offered us their quiet support.

Because our primary motivation is not money but dissemination of this technology, we will change the We will offer a new choice?*controlled disclosure* or uncontrolled disclosure. We will make clear our willingness, if need be, to *give away* this technology so that it becomes widely adopted. Suppression w: longer be an option. On the other hand, because money is not our primary concern, we propose to struc deal such that those currently profiting from fossil fuel can do as well *or better* in the new paradigm. Tl be plenty of opportunity for everyone; we need not ?hog the market? as first movers often do.

We shall offer a true ?win/win? for all concerned. Most importantly, we plan to structure our enterprise the control groups find cooperating with us to be less painful than opposing us. Secondarily, we will wı enable other affected parties, such as displaced workers and oil/coal economies, to adapt as painlessly ɛ possible. Our associated foundation will act to ensure that no one is left out. Finally, we will create a m movement to articulate and expound a realistic, attainable vision of a brighter world, one in which pollı relegated to the history books, and hunger and poverty are made incomprehensible to all of the world's

2.0 Introduction

SEAS is focused on the development and widespread dissemination of advanced quantum space energy over unity?) and propulsion systems which can permanently replace existing fossil fuel and nuclear sou power. In the event we cannot immediately identify and acquire such a technology, SEAS has available license a patented device that has been proven in EPA tests to cut emissions and improve mileage. That would then become our focus while we continue to seek a valid over unity device.

The economic, national security, environmental and ?special interest group' implications of such a proj significant, and drive our business plans. Insofar as such new energy systems would replace the entire ɛ infrastructure of this planet, the plan must be designed to protect the technology and ensure massive dis and application. Implicit in this is avoidance of the militarization of this technology.

In this regard, our primary objective is the safe, sure release of this technology to benefit the world, its and especially its currently ravaged environment. *All strategic decisions and critical pathways are orie towards this over-arching goal. Substantial funding is required for non-traditional investments, includi extraordinary corporate defenses and redundancies.*

For these reasons, the strategy related to such a world-changing technology cannot merely recapitulate strategies for conventional high-tech endeavors. The most powerful corporate, governmental, and covei national security operations in the world have a vested interest in such technologies. Therefore, a sophi; well-integrated strategic plan must address the building of supportive constituencies amongst the variou groups.

In essence, we must build something new: a kind of hybrid corporation/movement/foundation. SEAS w the practicality and focus of a well-run high-tech startup, with the zeal and proselytizing skills of a mo\ cause. It will also have the charitable aspect of a foundation built into its structure from the beginning. ' however, not be a traditional foundation, but rather one that addresses problems with an eye to solving within a generation, and leverages its resources via various alliances.

Past attempts to commercialize or release over unity technologies have failed due to a lack of strategic sophistication and related mistakes, including gross misapprehension of the political realities. Specific : and traps have included:

? Treatment of such technologies as ?just another invention', when in reality over unity elicits fo opposition that are unique to it;

? Filing of patents with language that either causes rejection due to wrongful application of the USPTO's ?perpetual motion' categorization or seizure under the national security clause (Sectio rogue elements, and similar obstacles in other patent offices;

? Failure to anticipate and prevent abuses by regulatory or licensing entities, including but not li rogue elements within the Department of Defense, CIA, NSA, Federal Trade Commission, Dep of Energy and others, each of whose permission is required for a new energy device to be commercialized;

? Targeting of the inventor or company with scams or ?slippery slope? illegal financial arrangem lead to the demise of the company;

? . Systematic interception of funds and essential financial support needed to develop and put into application such a fundamental new energy source;

? A pattern of harassment, bomb-threats, theft and other shadowy actions that frighten, intimidat demoralize those inventing, holding or
developing such technologies; significant bodily harm and murder have also apparently occurre

? Inducements through significant financial buy-outs, offers of positions of power and prestige a benefits to those controlling such technologies to secure their cooperation in suppressing them;

? Scientific establishment prejudice and rejection of the technology in
light of unconventional electromagnetic effects thought to be impossible by the current convent scientific paradigm;

? Corruption of scientific entities and leaders through clandestine
liaisons with rogue classified or shadowy private projects that intend to
suppress such devices, including systematic suppression of peer-reviewed scientific journal pub

? Corruption of major media entities and key figures through clandestine liaisons with rogue cla: private shadowy projects that intend to suppress such devices;

? Paranoiac tendencies by inventors, who wrongly assume that secrecy is essential. Contrarily, tl the project is secret, the more chance it can be made to disappear?and nobody will notice. Whil confidentiality is important for patent filings and trade secrets, the most dangerous *strategic* pat of secrecy. Covert projects, both governmental and corporate, have billions of dollars to spend i arena, and ordinarily a startup does not. Our strategy must be one of massive disclosure.

? Failure to line up advance high-level support amongst interest groups affected by the upheaval infrastructure, including funding sources into the billions of dollars, top leadership in politics, medi environmental (AKA ?green?) groups, as well as the defense, energy and transportation industri

While our assertions regarding rogue government conduct may seem extreme, we have credible witnes: testimony to corroborate them. On the other hand, our contacts within what Sen. Daniel Inouye called ? (y) government? assure us that this represents but a tiny fraction of the entire system. Further some eler within the shadow government have recently elected to quietly support our efforts against the others, ar have contacts at the highest levels in every visible establishment?political, media, military, industrial aı scientific?ready and eager to support us.

The shadow government is a tired establishment, and a house divided against itself. It will fall sooner or later. We have iden broad segments within it. We call these, ?Armageddonists?, ?Rational Suppressors?, and ?Disclosers?. The Armageddonists about 10% of the total. They believe that a severe planetary disruption is desirable. We cannot work with these people. How note that they represent a tiny if dangerous fraction of the whole, and so far their worst instincts have been stopped by the oı

The Rational Suppressors believe that, on balance, suppression of new energy technologies is preferable to disclosure. They reasoned with, especially if new options and a new paradigm can be articulated. The Disclosers are the most rapidly growin now representing approximately 40% of the total. Within this group are those supporting us. We intend to work with the mc and clear-thinking elements to effect a smooth transition to the new order. Each defection to our point of view weakens the : considerably.

SEAS has studied the mistakes of the past, and possesses the necessary high-level contacts and relation among affected interest groups. We can quickly and widely disseminate any valid technology. Our tean world-class group of trustworthy individuals and affiliated organizations with relevant expertise. We ar devoted, no matter the cost or sacrifice, to move these technologies into public use.

Although SEAS expects to be a very profitable corporation, profit is not our primary objective. Rather, a byproduct of accomplishing our purpose. Our purpose will be served when new energy devices are in global basis, and the end of fossil fuel and nuclear power is in sight.

Further, the major stockholder in SEAS will not be a person but a foundation. This foundation, to be cr shortly, will use its capital to ensure that the new energy technology reaches all corners of the globe reg of ability to pay or entrenched interests. Once that is accomplished, the foundation will work together v minded allies to address other needs of humanity, including environmental restoration, education, medi and creating a basis for permanent world peace and a global civilization of decentralized abundance.

3.0 Executive Summary

3.1 Objectives

Phase I

- Close $150-500K funding.
- Prioritize candidate technologies and set up meetings (approx. 2/7)

- Have two-person in-house test team visit top 6 candidate technology providers and report (3/15)
- Sign Testing/Option Agreement with Licensor (3/15)
- Complete triple-testing of licensed (optioned) candidate (4/31)
- Execute License Agreement (This concludes Phase I; 5/1)

Phase II (Milestones only)

- Close $2-25MM (est.) funding (actual to depend on maturity of the device selected).
- Convene meeting to create ?brain trust? and acquire advisors, employees, and consultants.
- Sign complete Phase II management team.
- Write Phase II business plan.
- Finish production prototype that produces kilowatts.
- Once a device produces kilowatts reliably, announce at $1MM National Press Club event (this cc Phase II).

Phase III (Milestones only)

- Sign up several $BB strategic partners.
- $2-8BB (est.) funding, including IPO.
- Establishment of GPS system for product safety.
- Complete marketable technology package/product.
- International Product Rollout Campaign ($1-2BB campaign).
- Enter manufacture (2003).
- Commence mass production (2004).

3.2 Mission

SEAS is in business to solve fundamental societal problems associated with energy and propulsion, anc profitably. The SEAS Foundation will use its profits from SEAS to solve further societal problems.

SEAS has identified a portfolio of candidate technologies, some of which apparently display ?over unit properties, while others offer superior fuel economy and/or reduce pollution. Over unity devices report subtler source than even the nuclear. They access fields of the quantum state.

SEAS intends to systematically screen, test, acquire and commercialize one or more such technologies. then gather a world-class team of scientists, inventors, businesspeople and social leaders. These person: focus their efforts on building and promoting (in the broadest sense of the word) devices that produce u self-renewing, pollution free electricity for the entire world.

Our website, www.seaspower.com is a triple-entendre that captures our mission. SEAS is our acronym; our business. We will enable humanity to access the unlimited sea of quantum power. We will also ena seizure of political power--really, a shift from today's power centers to a new, decentralized structure.

SEAS employees and associates share this cause. We are not here primarily to make money but to trans world. We will work hard, play hard, and hold to certain values. These values are: keep one's word, acknowledge and fix mistakes, recognize one's strengths and limitations, and perform work for which c aptitude and passion. Although we are doing something unprecedented, we stand on a foundation of ye startup history and will follow proven business norms except as appropriate to our special circumstance

We will hire for excellence, when legally possible disregarding sex, race, religion, sexual orientation ar irrelevancies. Performance alone matters here. We will empower diversity, even if we do not necessaril practice it. Fortunately, our business will attract the best and the brightest.

Our vision is lofty, yet our feet are solidly planted. We will focus on the fastest route to substantial, sca cash flow. Our products will produce electricity.

We will be respectful of existing commercial and social structures, working within the system wheneve possible for rapid yet minimally disruptive change.

3.3 Keys to Success

Essential to SEAS' victory are the following:

- Thorough planning including triple-redundancy on all critical items;
- Orchestration of the startup, mass movement, and foundation components;
- High visibility;
- Ready and immediate access to capital, manpower, and allies;
- A device that reliably generates wattage, scalable to kilowatt output.

Phase I is focused on finding, vetting and licensing that device.

Phase II will focus on:

- Developing our licensed device to reliable kilowatt output;
- Massively disclosing it to the world;
- Building the core corporate infrastructure, including a full management team and detailed planni becoming an operating concern.

Phase III will focus on:

- Making sure the device is safe for mass distribution;
- Creating production prototype(s) and plans;
- Ramp-up of manufacturing and distribution, sales and support.

4.0 Corporate Structure

Present

SEAS offices are located near Charlottesville, Virginia. The Charlottesville area has been the CEO's re: for 3 years, and was deemed one of the five most livable communities in America by Forbes Magazine. Charlottesville has a pleasant climate and natural beauty, and includes the University of Virginia, outst: schools, culture and other infrastructure which have historically proven necessary to attract and keep hi personnel, as well as ample room for office space and parks for SEAS's expansion. Indeed, it is perhap: America's least-developed promising high-tech corridors.

SEAS is a Delaware ?C? corporation. Currently there is one class of stock, with 10,000,000 shares issu outstanding. There is one shareholder and one Director, in both cases Dr. Steven M. Greer.

Near Term

Under advice of securities counsel, SEAS has structured a private placement via term sheet. SEAS will between 20,000 and 100,000 shares at a price of $5/share, thereby raising $100K ? $500K. Currently, $ that total is spoken for.

Shortly, Dr. Greer will create the SEAS Foundation. He intends that this Foundation be the largest shar in SEAS, and thereby its largest beneficiary. The only obstacle to Dr. Greer making this gift is the issue voting control. This will be explored with trust counsel. (See below for details.)

SEAS will create a standard stock option plan to attract and keep key personnel.

Future

To assure that voting control reposes in trustworthy hands until over unity technology has been widely (see Milestones, Phase III), management envisions use of a collection of control measures. These are di in the Term Sheet of the Phase I private placement.

For various reasons, a change of corporate domicile to offshore for some or all operations may be prud Governments of Jamaica and San Marino have already expressed willingness to be highly accommodat Greer has high-level contacts in other sovereign nations as well.

The SEAS Foundation

It is anticipated that the largest stockholder in SEAS will not be an individual but a foundation. Dr. Gre presently the sole stockholder in SEAS, has little interest in furthering his personal wealth. Had that be motivation, he would have cooperated with the MJ12 control group when offered the chance to join the personal gain, rather than risk his life and livelihood opposing them. (Since then, some of the MJ12 hav become quiet supporters of Dr. Greer.)

Dr. Greer intends to gift a foundation with sufficient stock to enable radical social progress. Assuming realizes its potential, it should be the world's largest and most profitable corporation within 20 years. If those profits and the resultant market capitalization redounds to the benefit of the Foundation, it will be largest such entity in the world.

First and foremost, the Foundation will act to ensure that the benefits of over unity technology are disp over the world such that energy production becomes inexpensive, plentiful, clean and free of backbreak human labor. This will be done in such a manner that the technology cannot be used for weapons purpc

Subsequently, the Foundation will undertake a variety of ?21st century? charitable pursuits. (Note: 21st charity is characterized by a focus on eradicating problems, not mere damage control.) Candidates will

- ? [Do we wish to mention this one? It's no problem with Phase I investors, and can be removed f II] Creating awareness of the reality and significance of the presence of ET people and technolo supporting cooperation with ET civilization [7-8 figures]
- ? World peace groups using scientifically validated technologies of consciousness [9 figures]
- ? Universal education, delivered via internet to all parts of the globe and tailored to local culture: languages (an initiative has already been started by a group of billionaires, and we may support effort) [10 figures]
- ? Dissemination of currently suppressed but scientifically proven medical devices and methodol figures]
- ? Restoration and sustainable cultivation of rainforests and other native or traditional ecosystems only for their ecology and heritage but also as the source of 40% of the world's new pharmaceut
- ? Research into the true origins of humanity, including so-called ?anomalous? archaeological re scattered across the globe.
- ? Construction of self-sufficient ecologically balanced ?model? cities and towns in uninhabited a including oceans and space.
- ? Universal provision of the essentials for living, including food, shelter, clothing, and medical c

The above list is representative, and will be augmented by other projects of similarly noble vision. foundation will leverage its resources through alliances with other NGO' s and governments.

4.1 Start-up Summary

Cash uses prior to startup were modest. They included:

$1,000 incorporation

$325 trademark filing

$100 domain names purchase

$5,000 retainer to securities attorney for preparing the stock offering.

The total was $6,425 which was met by Dr. Greer's investment. Of this, $6,000 was expensed as legal f the names are a $425 long-term asset. This accounting figure does not reflect the intellectual capital accumulated by Dr. Greer through a decade of research and contacts, which now constitutes the real ba SEAS' ability to attract capital, inventions, political support and other needed resources.

Start-up

Requirements

Start-up Expenses	
Legal	$6,000
Stationery etc.	$0
Brochures	$0
Consultants	$0
Insurance	$0
Rent	$0
Research and Development	$0
Expensed Equipment	$0
Other	$0
Total Start-up Expense	$6,000
Start-up Assets Needed	
Cash Balance on Starting Date	$0
Start-up Inventory	$0
Other Short-term Assets	$0
Total Short-term Assets	$0
Long-term Assets	$425
Total Assets	$425
Total Requirements	$6,425

Funding

Investment	
Investor 1	$6,425
Investor 2	$0

Other	$0
Total Investment	$6,425
Short-term Liabilities	
Accounts Payable	$0
Current Borrowing	$0
Other Short-term Liabilities	$0
Subtotal Short-term Liabilities	$0
Long-term Liabilities	$0
Total Liabilities	$0
Loss at Start-up	($6,000)
Total Capital	$425
Total Capital and Liabilities	**$425**

4.2 Company Locations and Facilities

Currently, SEAS uses offices in the homes of its officers and some facilities at 108 5th St., Charlottesvi This will suffice through Phase I.

In Phase II, SEAS will rent facilities suitable to office approximately 25 persons (18 full-time hires are and consultants will be on-site). Given an open-office floor plan, 200 square feet/person is sufficient. B example, a 5,200 square foot office is available March 1st for $4,800/month at a good location. This in utilities and parking.

SEAS will move rapidly to acquire its own facilities. Eventually, a campus will be built that houses off laboratories, a prototyping facility, and possibly temporary housing. The advantages are not only in cor an expense into an asset, but more importantly in control of our security and scalable expansion. For ex with its own land, SEAS can bring onto its site trailers to serve as temporary offices or even housing w permanent construction is being completed.

SEAS CEO is highly experienced in real estate investment and rehabilitation, with an outstanding credi Here is an example of what SEAS could do with an office park. Recent Charlottesville listings includec acre property, with a 16,000 sq. ft office and warehouse complex (convertible to lab space). The proper available for $1MM. SEAS could put $200K down and finance $800K at 6.5 % for a 20 year mortage. translates into payments of $6K per month or $72K per year. Such a property would be a prudent Phase investment in late 2002.

Assuming $500K to fix up and retrofit, $72K mortgage payments, the $200K downpayment, and taxes/insurance of $10K yields a first year total of $782,000. In subsequent years, the down payment ar costs would be eliminated, although additional building(s) or additions to the main building could be anticipated, as well as infrastructure improvements such as parking and possibly roads. The costs of eq laboratory are not reflected here and are estimated elsewhere in this plan.

Likewise, as SEAS will have an office/laboratory park in the US, it will have redundant facilities in tw offshore locations. While these are to be determined, they will be in jurisdictions that treat with the Uni States at arm's length, wherein SEAS can exert disproportionate influence by being a corporate citizen

5.0 Strategic Overview

Where practical, SEAS will follow normal and proven high-tech business practices for acquiring and d its technology. In addition, SEAS must follow a thoroughly orchestrated program of geopolitical plann media exposure and recruitment of key interest groups and opinion leaders.

It is essential that we create a ?mass movement? of support for the new device when it is ready to be ur This high-profile visibility and support will be our primary defense against suppression. While we will ongoing R&D efforts, SEAS is not primarily a research institute, but rather a vehicle for the mass discl promotion and application of new energy devices. We are apostles of change.

SEAS is specifically designed to be the leadership entity which coordinates multiple strategic compone force for transformation. These include:

? Identification and triple-vetted *independent* scientific testing of candidate devices;

? Research and development activities to create user-friendly, commercially practical, safe and reliable energy generation products;

? Intellectual property and patenting strategies guided by the world's top patent attorneys to avoid triggering section 181 and similar suppressive actions;

? Scientific community education activities, including funded research and endowed chairs, to cre core of mainstream and respected scientific and institutional support for this new science;

? Political and governmental education activities to create firm support among political leaders, friendly government agencies, regulatory entities and others; an associated PAC (Political Action Committee) will be formed;

? Offshore (non-US affiliated) redundancy of technologies, resources and structural systems to en longevity;

? Media campaign, including hiring a top five PR firm and purchase of ad space to ensure mass m disclosure and awareness;

? Liaison to existing mass movement groups and institutions that would naturally support the release and widespread adoption of such new energy systems;

? Out-reach to energy producing countries and interests to negotiate their inclusion in the dissemi these new technologies, thus 'hedging' the negative long- term economic impact on their core econc foundation. The concept is to convert potential adversaries into allies?with performance criteria preclude obstruction or 'shelving' of the technology;

? Development of further support within specific national security, military and intelligence arena friendly to the release of these technologies; substantial high-level support exists and will be fur cultured for safe and orderly release of these energy systems;

? Internal structuring of SEAS that precludes a hostile takeover or suppression of the technology. *control* will repose only with persons who have proven themselves incorruptible in the face of s threats and financial inducements;

? Our inventors will be protected from threats and pressures, both legal and otherwise, since the technology will be assigned to the company via a professional licensing agreement that remove: them responsibility for its dissemination; further, the device must be massively disclosed and disseminated within a specific time or the technology will revert back to the inventor. The inver receive (if desired) full scientific recognition, ample compensation, and the chance to further re: technology.

? Unlike a normal startup, SEAS will apparently have an excess of funds offered to it. Investors v chosen based on their ability to handle the financial risk (which is considerable) and their devot this cause.

[each of the above needs to be reduced to a bullet item, with the appropriate detailed text moved to the appropriate section. Text:

Lobbying. to provide support to those political leaders and groups who can in turn create political supp these new energy systems [discuss Enron's abuse of system illustrating what is possible with a few mill dollars carefullyt deployed

Media. This plan also requires the ability to complete a massive media
buy of ad space in the event that the [?news?] media refuses to carry the story (we have sources inside t
and the rogue national security structures that
have confirmed that the media has been and is controlled on these and related
issues and that it is prudent to plan for some degree of media obstruction).
It is important to recognize that some 70% of Americans [and many citizens of other nations] are conce with the future of the environment and sustainability issues and that this majority of the population can a powerful force of support should attempts to suppress the technologies occur.

Liaison to activist groups. these include environmental or ?green? organizations and agencies, anti-pov groups and agencies, conservation and energy groups, international development groups and agencies, ,

Board. our CEO and President has controlling legal authority over the company and has a proven track specifically not bowing to financial inducements, threats and the like. Indeed, for more than 10 years, I has been credited with disclosing the most exquisitely sensitive information and has consistently remaii of the influence of financial inducements and threats, though these have occurred. *Legal control* will re with persons who have proven themselves incorruptible in the face of severe threats and financial induc Such persons, today's ?Untouchables? reminiscent of Elliot Ness, will comprise our Board of Directors SEAS has safely achieved its purpose: worldwide dissemination of over unity devices.]

To ensure the development and release of new energy technologies, the following three strategic phase: activities are required:

Phase I: Identification, Screening, and Testing of Device.

SEAS has already identified dozens of promising devices. We have developed a screening methodolog will be applied through [mid-January]. Our objective is to select approximately ? dozen candidates for visits and on-site testing by our internal team of experts. We will also be evaluating the suitability of th inventor as a business partner and the legal status of the device.

Once a device has passed muster, we will option it from the owner. We will then subject it to controllec laboratory testing. We have identified scientists at University of New Hampshire, University of Virgini Harvard,Rensselaer Polytechnic and US Naval Research Laboratories who stand ready to conduct *hone* and prepare *objective* written reports.

Upon a device successfully passing our three separate independent lab tests, we will exercise our optio point our CEO, Dr. Steven Greer, will announce our accomplishment on a major media program, such Bell show (500 affiliated radio stations, estimated audience 25MM listeners) or a Larry King Show spe Greer has been able to pre-empt scheduled Art Bell show programming, such is his relationship with th We will use that and other such bully pulpits to rouse passion and support for our endeavor, including the audience for our later IPO.

We will immediately seek closure on Phase II funding up to $30MM from a variety of non-traditional s already identified. Sources include clubs of billionaires, private equity funds (non-VC), fast track gove grants, and others. In each case, our management has direct personal contact with a decision maker, ins leader. Several have already expressed willingness to supply us with all necessary resources, in the con our unique business model.

Phase II: Development of Initial Product and Mass Movement

In this phase, SEAS will rapidly hire a complete team of management and advisors. The major busines objective of Phase II will be development of the licensed device from a functioning prototype into a pr This will include the filing of international patents on the core technology and derivative improvement may acquire other devices and/or technologies for special and diverse applications during this phase.

In addition, there will be strategic efforts dictated by the unique requirements of SEAS. In particular, S implement [some of this is redundant with the preceding bulleted list]:

- ? Systematic and ongoing outreach program into the corridors of power as well as mass media or interest groups, including government, affected industries (energy, defense, transportation), environmental/green groups, scientific, and international. This will include a massive lobbying effort, as well as formation of our own SEAS PAC. Our Federal lobbyists will be former Meml Congress, with offices in Washington DC. (This means they are members of ?the Club? and ha to other members.)
- ? Security for SEAS personnel, facilities, files, and technologies from industrial espionage, acts violence and related threats.

- ? Significant budget for research and compliance with all appropriate state and federal regulation including EPA, DOE, and possibly others.
- ? Substantial legal war chest to face any illegal national security seizure/suppression efforts or ot challenges, and to counterpunch with RICO and civil rights actions.
- ? Redundancy of operations and critical assets in secure offshore locations.
- ? Corporate leadership to rapidly develop a coordinated Phase III marketing, operations and fund (IPO, licensing, strategic alliances and/or consortia) such that the billions of dollars needed to r mass-market product are budgeted and available when needed.

SEAS already has a substantial network of support at the very highest levels, including:

- ? Scientific community, NASA, NSF, universities, DOE, EPA and elsewhere.
- ? ?Friendly? national security and military support, including NSA, NRL [NRO?], Joint Chiefs o Offices of the President and Vice President [still true?], among others. [CIA, DIA, ?]
- ? UN leadership and similar in Europe, including the European Parliament and European Commu
- ? Very substantial pre-qualified private financial support ($150K in seed capital?50% of Phase I t already committed without pursuit of investors).
- ? Liaison to key corporate leaders
- ? Blue-chip media figures of sterling reputation including anchors, already pre-briefed on the mat
- ? Popular culture figures of international acclaim, including actors, studio heads, singers and othe
- ? Major oil and energy producing corporations and nations. This will be key, as we must create a scenario with such entities in order to move quickly into the public arena (see ?Consortia?, belo
- ? Social and environmental leaders as well as key political figures in both major US parties, inclu sitting heads of Congressional and Senate committees.

It is anticipated that the Version 1.0 product will be a generator system capable of powering a home business with 5-10Kilowatts on a reliable, commercially viable basis. This initial design will be sca and modified to run power plants, manufacturing facilities, and to power vehicles.

The product will be tested in government certified labs to prove efficacy, and we will hire appropri consultants to assure compliance with all relevant regulations, including safety and environmental c

Once the product is specified for manufacture and has been certified, we will massively announce i public through a ?dog and pony show?. The forum for the kickoff will be the National Press Club, t preceded by a massive PR campaign and followed by major media appearances. The event is tentat entitled ?Disclosure II?the Solution to Arab Oil?. While we will be careful not to blame all arabs, t speak to the heart of the funding for terrorist activities. It will be orchestrated to appeal to viewers' I minds and pocketbooks. We will work with sympathetic ?green? and other activist/public interest g spread the word among their memberships.

Contemporaneous with the media campaign, we will file a full patent application, thus protecting th technology legally, but also bringing huge public awareness and support to the patent filing. This, tl makes it very difficult for a Section 181 national security seizure to be effected, or for a patent to be or turned away. (Note: Finnegan & Henderson, the most prestigious and powerful patent law firm i world, is already representing SEAS.)

Phase II will close with the consummation of a 10-figure Phase III funding. This funding is expecte come from a combination of investors, including the following: oil nations with expiring reserves, r seeking electrification (such as India), strategic partnerships with companies in energy and transpor related industries, socially responsible investment funds (which presently manage hundreds of billi dollars), consortia, licenses, and an IPO. While the IPO will probably not be our primary fundraisin vehicle, it has other uses.

By being a public company, SEAS will be in the limelight of continuous public and regulatory scru will not be possible for the technology to disappear without significant consequences. For example, attempt to suppress the technology would almost certainly result in a class action suit by the shareh which the SEC and state securities regulators could conceivably be pressured to join in an *amicus* b Being public will facilitate various transactions by offering a liquid investment and transparent ope These give comfort to major investors and strategic partners. In addition, public companies historic a market capitalization 4-7 times higher than comparable private companies.

Phase III: Commercialization and Dissemination

In this phase, SEAS will develop a wide and deep organization, with thousands of persons joining the c All of the efforts begun in Phase II will continue, with massively enhanced funding to secure our footh

The initial device will be refined and modified for niche applications, and related devices will be studie developed, and acquired as appropriate. Applications include:

? Home and small business power generation

? Electrification of villages and cities in third-world countries without the need for large power pl infrastructure or transmission lines.

? Car and truck power generation

? Boating and oceanic transportation

? Power for aviation and aerospace, including satellites

? Batteries and other specialized uses of energy

? Medical devices

? Advanced electrogravitic vehicles

In so-called developed countries, adoption of new energy devices offers cost savings and pollution abat These are important. However, in less-developed countries (LDC's), the significance is far greater. For of the world, these devices offer the only viable means of reliably electrifying most villages and some c which literally translates into many millions of lives saved and vast productivity enhancement. The bill dollars necessary to build power plants are prohibitive in LDC's. For example, it has been estimated tha to fully electrify India exceeds $100BB.

This technology can be adopted village by village at modest cost. Therefore, LDC's, with billions of cit hungry for electricity and all it entails, are expected to be our largest market. Third world countries are bypassing traditional expensive telecommunications infrastructure (wires, transmission apparatus, centı stations) by leapfrogging to cell phone adoption, and they can do so with SEAS electricity generators a:

Under the leadership of a world-class team of executives, scientists and advisors, SEAS will leverage it resources to bring forth this technology as rapidly and comprehensively as possible. Benefits will inclu

? Elimination of most sources of pollution, and cheap remediation of existing waste dumps, bodie water, and landfills;

? Improvement of city conditions, by enabling non-polluting, quiet electric vehicles to replace the combustion engine;

? Increased lifespan and quality of life for billions of persons now living in poverty, due to clean refrigeration, sanitary waste disposal, adequate food and shelter (80% of their disease is due to ı sanitation, including food spoilage that leads to famine);

? Universal education by freeing third-world children from the need for backbreaking work to sus family;

? Vastly expanding the arable and livable areas of land on Earth. Currently, even in China, 90% o population lives on 10% of the land. Through reverse osmosis water treatment and electrically ı water pipelines, much of the world's desert and other ?uninhabitable? land can be made arable, temperate, and suitable for self-sufficient communities.

? Numerous other benefits, some of which are unpredictable?as is always the case with breakthro technologies.

Inevitably, once SEAS has succeeded, competition will emerge. We welcome this development. First, a leader in this field, we will have a healthy share of the market. Second, even should SEAS be displaced leadership position, our major purpose will have been served. In concert with our strategic partners and we will have created a future that is sustainable, safe, and free of environmental degradation and povert will have brought clean energy to the world.

Eventually, SEAS will research and develop other related applications. In particular, the same technolo enables new energy will apparently also enable electrogravitic propulsion. This kind of propulsion can all air and ground transport systems by 2020 ? 2030, freeing up millions of acres of rural land now usec highways and roads. Such a shift will allow anyone on Earth to economically and ecologically live in s: villages or cities of their own design, with local governments that have no need of outside economic su

This will create the basis for a world in which larger government institutions can focus on common def cultural exchange, large research projects, and matters of trade and judicial institutions without intrudir into the law-abiding citizen's everyday life.

It should also be noted that technologies related to new energy and electrogravitic propulsion appear to remarkable medical and healing applications. In Phase III, a division of SEAS will pursue these.

The Right Perspective

SEAS could potentially generate hundreds of billions of dollars in revenue, and will require extraordinε aggressive capitalization to succeed. Unlike many high-tech startups, the critical factor is not viability (technology. That question will be decisively answered in next few months at modest cost, and the evide date is encouraging.

The real issue with SEAS is that, unlike past new energy startups, it comes with the right leader, the rig level contacts, and a totally rational and comprehensive approach. Given a technology that is viable, th capital invested in SEAS the greater is the likelihood of its success.

While from one perspective, SEAS is engaged in the riskiest startup operation in history, from another perspective this is false. Just as the lunar landing was achieved by a comprehensive effort over a decad triple-redundant systems and meticulous planning, so can another such bold endeavor succeed. *Provide each risky component of SEAS business plans can be adequately addressed, with multiple contingency ready for proper execution, the risk is controlled.* This is the heart of our business strategy.

Success can be reasonably assured by adequate support staff, funding, and strategic assets all being estε in Phases I and II. Success in these phases will create a solid foundation for Phase III. The ability to ob open support of key national leaders, environmental organizations and regulatory agencies at the state ε Federal level (such as the EPA) is also essential.

With the right personnel, systems, and assets in place and with adequate operating capital, SEAS can b central agent for the creation of a new world.

Contingency Plans

In the event we are unable to identify and acquire a device in Phase I, we have several alternative cours we will explore very limited funding (up to an estimated $100K) for assembly of devices. Second, we \ explore testing a functioning but sub-optimal device [for example, from Tom Bearden]. Third, we will promising device that is not over unity but nonetheless significant.

SEAS has available for acquisition an innovative and already patented carburetion system which treats intake on internal combustion engines with an electrostatic process that reduces by up to 40% harmful t emissions and increases vehicular fuel efficiency by 20-50%. This is a simple, easy to install system wl would *by itself* greatly reduce air pollution, global warming, and extend the availability of oil and gas. system has already been tested and proven at EPA and other government labs, but has languished due t funding and lack of strategic sophistication to bring it out to the public.

The patent on this system is about to expire. However, the inventor claims to have significant improver which derivative patents could be filed.

This device would enable industrialized nations to meet the Kyoto Accords, so it is reasonable to expec governments would mandate its inclusion in new vehicles. It is readily retrofitted, and should retail for approximately $200-300 for cars. Assuming average vehicular fuel consumption of 1,200 gallons per y would enable the consumer to recoup his investment in less than a year. With 200 million vehicles in th assuming operating revenue to SEAS of $100/unit and a 25% eventual market share achieved over 10 y would have a $5 billion opportunity.

In larger configurations, it is also applicable to reducing heavy smokestack emissions, and for enabling trucks to comply with the recent EPA mandate that they reduce emissions, which the trucking industry professes inability to do. In recent years, smokestack emissions have come to exceed vehicular traffic a pollution sources in the US. Further, smokestack emissions are expected to be a rapidly growing source pollution in countries such as India and China, which are focused on coal as a source of electricity.

We would continue seeking an over unity device, but in this contingency plan that device would becom secondary to developing and commercializing the above technology. Because the political pressures on opposing this carburetion system are expected to rival those for over unity, we will require similar fund Phases I and II.

6.0 Product Applications

In order to leverage its modest resources and better achieve results quickly and reliably, SEAS will pre: align itself with other companies or even consortia having the production and marketing resources nece quickly enter and service diverse markets. This will be accomplished through appropriate licensing and venture agreements. However, if necessary, SEAS will manufacture and sell product through contracte production or even build internal infrastructure. Finally, SEAS may directly enter the business of provi electric power. Each of these is explored below, in ?Markets and Marketing?.

No products will be developed in Phase I. During Phase II, products will be specified, and pre-producti prototypes developed.

Late in Phase II, SEAS plans to hold a second National Press Club Event, tentatively entitled ?Disclosu Solution to Arab Oil?. Given that Dr. Greer's first such event garnered 250,000 viewers of the webcast $100K budget including little paid publicity, we expect that this event?focused on a topic of greater per immediacy, with a seven-figure promotion budget?can attract at least 250,000 viewers. Further, it is co: such webcasts to be ?pay-per-view? with a ticket cost of $5, split between the host and the service prov that case, SEAS will earn bootstrap revenues of approximately $625K.

In Phase III, products will be rolled out. We intend that the first product be a generator that produces 5- kilowatts, meeting the energy needs of a home or small business. It will allow the average customer to ; grid. After suitable scale-up, a megawatt model for powering government facilities and large corporatic be offered.

Further scale-up will enable generators for electric utilities supplying the grid.

Another planned product offering is a battery device suitable for electric cars, eliminating the need to re and providing the needed acceleration.

One promising niche is sale of devices for use in remote facilities, such as satellite applications where f the power source can cost $100MM. Another application is military vehicles, especially those deployec combat where refueling is logistically difficult. In both cases, the value added will far exceed the residential/business value of comparable Kilowatts production.

Our last planned application is building electrogravitic craft. This has military and weapons implicatior will be delayed until those issues have been satisfactorily addressed.

It is possible that SEAS will gain substantial government and private grants or contracts for alternative conservation, accelerating rollout of larger systems. For example, many Federal agencies are mandated reduce energy consumption, but reliance on antiquated technologies is forcing them to adopt artificial r such as area blackouts. SEAS will develop multiple products on parallel tracks, consistent with availab resources.

SEAS will be the ultimate ?green? corporation, not only reducing fossil emissions and effluent, but alsc enabling the cleaning of the environment by virtue of creating massive ionizing machines that will wor same fashion as a waterfall, rainstorm or forest, scrubbing particulates from the air and negatively ioniz health. These machines, currently cost-prohibitive due to energy consumption, become feasible as gove contracted projects with over unity.

SEAS generators will also enable building of neutron-generating or nanotechnology systems for reduci radioactive waste, landfills and other despoiled land to their constituent elements, which can then be appropriately remediated. Polluted bodies of water, such as Lake Baikal, can be restored to pristine con submersible robotic systems carrying their own permanent power supply.

Another potential application is entering the electric utility market. Bankrupt utilities are available. SE working with partners:

1. Acquire a defunct facility that has functioning transmission equipment.
2. Build a commercial-sized model, configured for power generation.
3. Sell power.
4. Duplicate and expand, either by purchasing defunct electric utilities, or by building new capacity where re permit.
5. This could also serve as a ?demonstration plant? to attract existing utilities as customers. Deregulation has considerably in recent years and some states, such as Virginia, are allowing competitive production and c of electricity.

7.0 Manufacturing and Operations

SEAS has identified two highly experienced manufacturing executives, both ready to join our team in F One gentleman is presently in charge of setting up international manufacturing operations for a Fortune company. The other fabricates products from functional prototypes for major aerospace corporations. T these gentlemen have the skills and contacts to develop SEAS manufacturing plan.

There will be no manufacturing and no tool up for manufacturing in Phase I or Phase II. Depending on relationships with corporate partners, SEAS may never need to manufacture product. If manufacture is it can be contracted out in Phase III until the make-or-buy decision favors vertical integration.

The manufacture of over unity devices is reportedly neither capital-intensive nor high in terms of cost c sold. Rather, it requires exacting expression of new principles using off-the-shelf tools and equipment, limited number of specially machined parts.

Conversion from a functional prototype to a production prototype will require engineering specificatio
and optimization of part composition, International Standard Organization (ISO) compliance and documentation, and appropriate permitting from regulatory agencies. Once that has been accomplished tools can generate the appropriate molds for mass production in whatever quantity is required.

The manufacturing decision will flow from the marketing plan?whether SEAS is a supplier of technolo product. That plan will be developed in Phase II. In any case, there are some attractive opportunities:

? In a recession climate, significant excess capacity is available to be converted. Suppliers will fi and tooling costs that would otherwise require up-front investment. This is especially prevalent

? Certain Senators and Congressmen, some of them geographically close to SEAS headquarters Virginia, have demonstrated interest and aptitude for obtaining eight and nine-figure governme for projects in their states. For example, Sen. Robert Byrd (D, WV) is proud to be known as the pork?. SEAS has access to Sen. Byrd, and could propose a manufacturing plant in his home stat exchange for eight- or nine-digit Federal funding of the plant and equipment costs.

The actual cost of building a plant will probably exceed $100MM, and include a mixture of Federal an subsidies as well as loan packages and some private capital. This will become feasible once SEAS gene are a proven alternative to conventional energy sources.

Because building our own facilities from scratch will take 3-5 years from date of commitment, SEAS v initially do contract manufacturing and will acquire existing facilities that can be retrofitted to our prod needs. We will run contract and internal production in parallel until internal production is fully reliable scalable.

8.0 Service and Support

There will be no user-serviceable parts inside any SEAS generator sold to the home or small business n This decision is based on two considerations: safety, and the unusual nature of this technology.

Reportedly, over unity technology has operating parameters that can cause major changes in performan minor changes in calibration. This could cause a traditionally trained service technician considerable di Only SEAS-certified and supervised technicians will be allowed to work on SEAS generators.

Another concern is the reported tendency of new energy devices to generate sudden surges of excess er when appropriate operating parameters are exceeded. (This problem has been reported in the scientific with testing of cold fusion devices.) SEAS will equip all generators with internal triple-redundant microprocessor-controlled governors that monitor all operating parameters in real time, keeping them v within tolerance, with instant shutoff if necessary.

Most significantly, widespread access to over unity technology will surely enable understanding of electrogravitic propulsion and psychotronics (technologies that enable action at a distance). While these become desirable in a peaceful world, they can also be perverted into weapons of mass destruction.

For these reasons, SEAS generators will be sold as ?black boxes? with no user-serviceable parts. If a ur malfunctions, it will be returned to a SEAS authorized service center. Every unit sold will be monitorec regular basis via satellite telephone hookup. The unit will be interrogated by a SEAS supercomputer, ar respond with the signal ?I am OK?. A built-in GPS device will allow positioning and tracking of every generator sold.

Any unit failing to respond with the ?I am OK? signal will be given a self-destruct instruction. Likewis unit detects temperatures capable of fracturing its housing, or mechanical vibration or pressure characte a drill or blunt instrument, it will self destruct. The destruction will be contained within the unit's heavy and will ensure that the critical over unity circuits become melted and indecipherable. A small thermite governed by a triple-redundant microprocessor with sensors is one possibility. Should a unit self-destru will immediately investigate and, if appropriate, local or international authorities will be notified.

Despite the lack of user-serviceable parts, SEAS will have telephone and web-based service personnel continuously on duty. Their main function will be to provide hand-holding and reassurance to custome the safety of their units. We expect SEAS generators to be the target of significant rumors and disinfor However, over time, this will abate.

9.0 Market Analysis Summary

[need to confirm SBA statistics, which show US small business growth rate of roughly 1% annually. Se Also, obtain % of total US businesses with 25,000 sq. ft. or less and express in Segmentation.]

9.1 Market Segmentation

For purposes of Phase I planning, we have artificially restricted the market for SEAS generators to US small businesses and residences (broken into retrofit and new construction, because the sales process a adoption will differ). We have excluded larger US businesses and government facilities and power gen plants, all of which may require generators with kilowatt output exceeding our first-generation unit's capabilities.

[We have also excluded non-US customers throughout the developed world (especially Japan and Euro which would tradtionally double the overall market.] [take populations of Japan, Europe Canada, confi comparable incomes, use to extend market in 2004 and 2005]

Perhaps most importantly, we have not attempted to quantify the enormous Third-world market. This r 90% of Earth's population and, while lacking in financial capability its need is acute and suitable for cr public/private funding mechanisms already in place.

[Because we are still showing losses in 2004, it may make sense to include non-US residences and sma businesses and make some provision for Third-world penetration. 2004 should show a profit, and it can scale up production rapidly.]

Market Analysis

Potential Customers	Growth	2002	2003	2004	2005	2006	CA
US Residences	2%	95,000,000	96,425,000	97,871,375	99,339,446	100,829,538	1.5

US Small Businesses	1%	4,000,000	4,040,000	4,080,400	4,121,204	4,162,416	1.0(
Other	0%	0	0	0	0	0	0.0(
Total	**1.48%**	**99,000,000**	**100,465,000**	**101,951,775**	**103,460,650**	**104,991,954**	**1.4**

9.2 Main Competitors

Initially, our only competition will be the existing electric utilities. However, SEAS generators will offi unmatchable price advantage and, everything else being equal, only price differentiates within a comm(such as electricity. Therefore, the utilities will attempt to make something else unequal. Once SEAS be make serious inroads and launches massive media campaigns, utilities will attempt to portray the SEAS generator as unreliable and unsafe. For the first few years, this will keep most of the market from adop SEAS. Eventually, however, it will serve to help us educate the market by creating brand awareness.

Later, competition will emerge from other inventors and licensees of new energy technologies. In partic expect that some of the companies that have sequestered devices will choose to market them once SEA established market presence. These will be formidable competitors with established brands, deep pocke marketing channels. This competition will result in a steady drop of generator price per kilowatt, becau customers will only distinguish one such device from another based on price and reputation. At first, ar perhaps indefinitely, reputation will give SEAS a slight edge as first mover, but this cannot be expectec continue.

Eventually, SEAS-type generators may themselves become a commodity. Unlike traditional profit-max companies, we welcome this development, because it will assure that over unity technology proliferate: the globe and can never again be suppressed.

10.0 Markets and Marketing

There will be no marketing effort in Phase I. In Phase II, a Marketing VP will be hired to develop a Ma Plan based on the specific device chosen and its focused niche applications. This Marketing Plan will b implemented in Phase III.

Broadly speaking, our market includes all forms of electrical power generated to do work. This market estimated at $4.5 trillion as of 2000.

Sources of power and propulsion that SEAS generators can replace include:

? Electricity production (coal, oil, nuclear, geothermal, hydro, wind)

? Oil & Gas refined into vehicular fuel (as contrasted to plastics)

? Electrochemical batteries

The above broad markets can be divided into many niche applications. At this early stage, SEAS can or estimate which applications will prove most suitable. For example, if SEAS' initial choice of device ena product that powers a home or small office but has a footprint of 25 square feet, it may not be suited to automotive applications.

To illustrate the potential size of our markets, this plan currently focuses on the home and small busine: markets for electricity consumption.

Overview of US and World Electricity Market

Total US production of electricity in 2000 was 3,791BB Kilowatts. The portion of this from renewable was about 10%. The SEAS generator will be considered a renewable source, which gives the advantag€ green? classification.

Because SEAS generators will operate without fuel, SEAS devices will consistently be less expensive t than conventional generators. In addition, conventional generators produce waste products that are exp(process and carry high social costs in the form of pollution and illness. Given that the SEAS generator ı reliable, safe, and appropriately priced, it will replace today's antiquated generators.

The size of this market, and the potential economic and societal impact, dictates a marketing plan with breadth than conventional plans while addressing the practicalities of such profound change. Also, whe or availability of a commodity is a limiting factor in its consumption, as is usually the case, then a radic reduction in cost or an increase in availability will greatly expand the market. This will be true for the e market, which is already growing rapidly.

World electricity consumption is currently forecast to double in the next 20 years. In Asia, consumptioı forecast to double in just *ten* years. In some markets, the rate of growth is higher still. For example, in consumption is growing at 10% annually. Much future growth in third-world production is expected to from coal-burning plants. The advent of SEAS generators will enable the world to raise its consumptioı electricity to Western levels within a generation, without causing the kind of severe environmental degı associated with coal-fired plants.

SEAS intends to use a combination of market-oriented structures to earn a sizable share of the expande for power, believing that that increased accessibility of energy will help assure a better life for many. R has shown that a higher per capita consumption of power correlates, with few exceptions, to higher stai living, including lowered infant mortality, reduced birth rates (because of reduced dependency on desc(for old-age survival), and higher lifespan. Longer lives, in turn, mean that the productive years of citize not lost. How much of America's wealth and culture would be lost if the average citizen died in his or h twenties?

By affording the world's population adequate power in an ecologically benign manner, SEAS will be b(them directly as a consequence of its business activities. In addition, the SEAS Foundation will act to e those ?left behind? by the market soon catch up.

First Market: US Residential

In 2000, there were 95MM residential dwellings in the US. Housing starts were 1.5MM units. Average residential consumption of electricity was estimated at $975. (Note: Electricity represented only 20% o residential energy consumption in 2000, indicating a potential five-fold increase in our market size.) Al the ratio of housing starts to housing stock would suggest an approximately 1.5% rate of market growtl the rate of growth in electricity consumption has been higher in recent years, due to increased use of co

The average US residence consumes about 10Megawatts/year. This translates to slightly over 1Kilowat not counting variations in load due to time of day and seasonal factors. Therefore, a generator capable (

producing 5-10 kilowatts/hour will serve the vast majority of US homes. Residential consumption of el represents about 1/3 of total consumption.

Prices will initially be set low enough to offer attractive savings to customers. The economics indicate ; wholesale price to be about $5,000, with an additional $5,000 of markup and installation-related costs. price the unit lower and perhaps increase early domestic sales volume. On the other hand, SEAS seeks significant early profitability so that the SEAS Foundation can afford to spread this technology across t In the future, prices will be lowered. In a sense, the early pricing will include a ?tax? on the wealthy US homeowners that will subsidize third-world electrification. However, this will be transparent to the cus who will see only a way to save money, get off the grid, and cut pollution.

Once SEAS generator has been certified by the appropriate Federal agencies and trade associations, it c sold as either an optional component of new home construction or as a retrofit item, to be installed by a trained technician.

The generator will constitute a home improvement, similar to any other fixture, and therefore qualify fc mortgage financing. In a small business, it would qualify as a capital equipment purchase.

In both new home sales and home improvements, we expect the installation of SEAS generators to dire to resale value in the same manner as bathroom, kitchen, and other functional improvements. A future l continue to realize the savings of ?off-grid? electrical power. Since the purchase of a SEAS generator c nothing out of pocket, this increase in resale value represents pure profit for the homeowner.

The average US home spends over $80 per month on electricity. A $10,000 15-year second mortgage a interest rate of 6% will add $84 to the monthly payment. Since this is tax-deductible money, the actual be $64, assuming an average tax rate of 24%. This saves the homeowner an average of $16/month.

For new residence, purchased with a conventional 30 year fixed mortgage, the additional payment will $60, or $46 after taxes. Therefore, investing $10K in a SEAS generator saves the average new home pu $34/month.

With 1.5MM housing starts per year, the US residential market for new construction represents a $7.5E opportunity for SEAS. This assumes SEAS sells turnkey units directly to home builders and their subcc for $5,000 each, and the builders handle sales and installation. Because of the economics and a piggyba selling process, this is expected to be SEAS first market.

After aggressive developer industry educational efforts, we will have an educated sales force eagerly pı this as an ?add-on? to a sale already made. We estimate that, due to very high visibility of SEAS in 20C year of product launch, we estimate we will capture 1/4% of new home sales that year. (We will enhan sale with a huge warranty fund, probably $50MM escrowed at a major accounting firm to cover failure units and any product liability beyond our insurance coverage.) With the units installed and working sa reliably, we estimate 2% penetration in 2004, 10% in 2005 (we expect competing product to share the ı starting in 2005), and 15% in 2006. This translates into US new home market revenues of $18MM in 2 $150MM in 2004, $750MM in 2005, and $1.125BB in 2006.

With 95MM of existing homes in the US, the market for home improvement sales is $475BB, assumin wholesale price of $5,000/unit. Because we will not have the advantage of a sales force eagerly promot as an ?add-on? to a sale already made, penetration of this market is expected to be slower than new hon with growth increasing as home improvement stores begin to carry the product and sufficient service te are trained to handle the volume. We estimate this market penetration at 1/100% in 2003, 1/4% in 2004 2005 and 8% in 2006. This translates into US home improvement market revenues of $47.5MM in 200 $1.19BB in 2004, $19BB in 2005, and $38BB in 2006.

SEAS will lobby to have legislation passed giving homeowners state and Federal tax credits for installi generators. Such credits would provide a windfall to purchasers, and also help to legitimize and promot product. Widespread use of SEAS generators will facilitate compliance with the Kyoto Accords, as wel meeting of EPA mandates for local pollution control and reduction of particulate emission by utilities b fossil fuels.

Note that the above numbers do not reflect sales in Europe and Japan, which would traditionally double domestic market, nor in the huge third world residential market, discussed below.

Small Business

Defining a small business as one using 25,000 sq. ft. or less of office space, there are over 4MM small businesses in the US, consuming over $25BB per year of electricity. The average small business spend: $6K per year on electricity (assuming a price of $0.05/Kilowatts/hour?slightly lower for industrial user slightly higher for other types of businesses), and consumes about 120 Megawatts/year. A SEAS gener: capable of producing 10 Kilowatts/hour could produce 86 Megawatts/year, potentially reducing a small business' electric bill by over $4K/year. The $10K cost to purchase and install the unit would be 100% deductible as capital equipment with a one-year writeoff and a 2 ? year payback. Two 10 Kilowatts/hou would eliminate the average small business' electric bill.

Because businesses generally take a cautious, yet rational approach to capital equipment expenditures, assume slow penetration of this market that rapidly accelerates toward 100% penetration of a market sh other over unity suppliers as over unity becomes validated through real-world application. We estimate market capture in 2003, 1/4% in 2004, 8% in 2005, and 16% in 2006. Assuming only one unit per US s business, this translates into revenues of $2MM in 2003, $50MM in 2004, $1.6BB in 2005, and $3.2BI

Note that these numbers do not reflect sales to larger businesses, government offices, or power generati (aka utilities).

SEAS generators offer an incremental, affordable solution to the ?brown-outs? which have recently pla California and threaten other states. These chronic shortages of power?which hit industry hardest, beca supply is sacrificed first?are causing numerous companies to re-think their commitment to California, v should make that state very receptive to a new energy source. (California by itself has one of the ten lar economies in the world.)

Other Markets

As the device is scaled up, and larger models of product become ready for manufacture, the same type product will serve markets including larger businesses, government offices, and eventually public utilit

Currently, nuclear generators produce 19% of US electricity and much higher percentages in some fore markets (about 80% in France). While a significant and vocal portion of the populace would prefer to s plants decommissioned, that may only become practical when SEAS offers a proven replacement.

The market for SEAS generators in Europe and Japan may be even stronger than US domestic. The rea cost, environmental attitudes, and dependency. In Europe, electricity costs twice the average US price/I hour in many countries including Scandinavia, Germany, Switzerland. In Japan, industrial electricity cc times as much. The Japanese import almost all the oil they burn for electricity, and therefore suffer sho their economy when oil prices rise. There is a strong national consensus interest in alternatives. In Eurc green? movement is strong and would support an alternative to fossil fuels and the growing nuclear pre

Due to the enormous range of impact of SEAS's technology, various special marketing arrangements aı structures will be explored. Among these are:

The Huge Third-World Market

The 4 billion people who live in abject poverty could have their lives transformed by clean, abundant e. Billions of dollars are spent on public and private relief efforts for problems that SEAS generators can *permanently solve*. The SEAS Foundation will work with these efforts, lobbying, providing seed capita matching money and other creative approaches to catalyze the transformation.

In developed countries, SEAS power generators offer cost savings and pollution abatement. These are (significant. However, in LDC's, we offer the only viable means of electrifying many villages and some which literally translates into countless lives saved and vast productivity enhancement. The hundreds o of dollars necessary to build centralized power plants are prohibitive in LDC's, where 1.3 billion persor less than $1/day.

SEAS generators can be adopted, on a village by village basis, at modest cost. Therefore, LDC's, with t citizens hungry for electricity and all it entails, are expected to be our largest market. Third world coun bypassing traditional telecommunications infrastructure by leapfrogging to cell phone adoption, and the so with SEAS electricity generators as well.

These generators will provide power for refrigeration, sanitation, cooking, clean water[1], and other he necessities in addition to increasing productivity. Therefore, we anticipate being able to structure coope programs with the World Bank, International Monetary Fund (IMF), UNICEF, Agency for Internationa Development (AID) and private philanthropies to fund the purchase and delivery of these generators. 8 potential improvement of health in third-world villages can be attributed to basic infrastructure, such as sanitation and refrigeration, rather than a shortage of physicians and nurses. Much of famine can be att food spoilage. In the third world, disease is the primary cause of shortened lifespans, missed education productivity.

Historically, villages were generally self-sufficient and traded with others for luxuries rather than neces The advent of SEAS power will once again enable local self-sufficiency, as even villages in remote or l environments will be fully able to meet their own needs. Greenhouse food production, clean water, clin controlled housing, and light industry will provide for basic needs in a SEAS-equipped village. Each ne sufficient village would then serve as a ?seed? for local economic progress and electrification of surrou areas. Portable SEAS generators could also be transported to help with disaster relief, as needed.

India offers an excellent opportunity. India has a middle-class of over 200 million, close to the populati United States. However, 800 million other Indians live in abject poverty, often in villages without electrification. Leading Indian citizens living in both the USA and India have expressed interest in help their compatriots out of poverty. It has been estimated that the cost to electrify India via centralized po could approach $100BB. This has proven daunting. However, such citizens could join together to fund based electrification projects in conjunction with existing Indian charitable organizations. SEAS has ac high-level Indian executives and political figures as well as Indian charitable groups.

In summation, SEAS generators can do more to meet the goals of international aid and development th known alternative.

Consortia

Since various industries face extinction if SEAS succeeds, it is prudent to find a way to deflect their ho

Once we establish that we are moving forward with them or without them, and that our advent does not them but offers mutual economic advantages, it will be in their interest to cooperate with us.

One approach is the consortium. We would vertically segment the applications, creating appropriate co Vertical licensing consortia might include: electric power generation, ground transportation, air transpo shipping, motors. In addition, we might create a consortium of investors from the oil and gas industry a producing nations.

If, instead of structuring a consortium, SEAS were to approach individual companies seeking alliances, decision maker would see the possibility of a promotion as his greatest personal gain. However, should fail, he could lose his job and possibly even his reputation. This calculus almost assures rejection, regar the merits of our proposal.

This consortium approach flips the decision-maker's motivations. With the consortium *fait accompli*, ai executive failing to join the consortium would risk his career?his decision could bankrupt his employer key is to structure the consortium proposal such that it seems irresistible. Each consortium will be led b executive with a world leadership reputation in that industry, and our offer to prospective members wil that they have little or nothing to lose by joining, the possibility of significant gain, and much or everyt lose by staying out. The decision-maker can then justify his decision that joining was the normal and re thing to do.

Regarding each consortium, once we have ready a technology package capable of supplanting or radica transforming that industry, we will have a person of international stature call and chair a meeting. Representatives of all companies in that industry would be invited to attend. At the meeting, they woul presented with briefing materials demonstrating our capability, our rollout plan, and our offer to share t wealth. A crucial consideration is that the consortium not violate price fixing or other antitrust statutes, appropriate counsel will be engaged.

Each company present would be invited to join a consortium with exclusive international rights to the appropriate vertical application of SEAS's technology. Rights would be allocated on the basis of revenu assets, profits, or a mixture. If the parties could not agree on a formula, we would impose one. The con: could make decisions regarding its membership, perhaps choosing to admit others at a later date.

Arguments would be made that this technology will cause their market to expand more rapidly than bel could leave them in full control of their present market share, and take a percentage of the future growt perhaps half the ?excess growth? engendered by SEAS's rollout. We would also take an up-front licens from each participant.

The consortium would be responsible for dealing with all legal, manufacturing and marketing matters r its field of use, subject to a requirement that the consortium actually deploy the technology. This would the operating burden upon SEAS.

While any consortium structure will be imperfect, if our approach is reasonable and supportive of the ir a whole it should attract support of at least a few key players. Once that happens, a domino effect may : because the rest cannot afford to be left out.

Consortia could also be structured geographically. However, presuming that our primary opposition wi from multinationals rather than governments, this would seem less effective than industry-specific. Bot of license segmentation could be explored in cases where an industry is geographically limited or speci conditions exist.

Consortia may be viewed as a unique form of global license, wherein the industry as a whole is license something that fundamentally changes it. It is not a traditional exclusive license, because the industry a is offered participation. Neither is it a traditional non-exclusive license, because the opportunity to part restricted.

We would also have a noncompete clause. Members would agree not to utilize any over unity technolo than those the consortium licenses. Should a member identify a superior candidate technology, the cons would have a process of acquisition and development. If any member is in multiple industries represent separate consortia, they must reorganize their business appropriately, or find another approach to comp acceptable to both consortia. This also seeks to change the orientation of the control groups from contro sequestration to controlled deployment.

By offering the Consortia members the chance to maintain their current market share and profitability, expanding the pie for everyone, SEAS intends to transform a potentially ugly confrontation into allianc major corporate and governmental allies, the transition from a world of scarcity to one of abundance wi assured.

Licensing

Technology packages could be licensed to customers on various plans. This could mean a set of specifi a package including equipment. For example, an initial licensing fee could cover costs of manufacturin delivering and installing a unit. The customer could then pay a royalty based upon shared savings of fu

Licenses are traditionally segmented by industry/application or by geography. Geographic licenses mig appropriate if a particular nation state would pay a large amount of money for marketing rights to an ar as the Middle East or Africa. These rights would, however, only be sold with strict and measurable perl obligations on the part of the licensee.

Spin-off companies

SEAS could create separate legal entities, geographically or by vertical market. Potential benefits inclu

? Greater shareholder appeal and value, by allowing segmented and tailored portfolios. Different and structures of securities may be allowed/appropriate in different markets.

? Opportunities to motivate, keep and reward those who join SEAS later, especially those seekii or VP responsibilities.

? More opportunities for coverage in the financial press.

? If one particular functional area has a catastrophic problem, it doesn't destroy the whole (this is significant in that extraordinary civil and, in some jurisdications, even criminal liabilities may a some cases.)

? Political uses, by allowing a related entity to function relatively autonomously in a special juris or nation.

? May create tax advantages by splitting domicile.

? Opportunities for additional IPO's.

Government Contracts

Numerous Federal and state agencies are under mandate to cut energy consumption to specified lev failure to date is highlighted by such activities as ?blackout days? in which arbitrarily chosen work turned off.

Availability of SEAS units could enable these agencies to meet their objectives in a more rational a efficient way, enhancing their productivity. It may be possible to obtain government contracts or ev to supply units for energy conservation purposes. We have contacts in the offices of US Senators, tl and the Department of Energy as well as state governments who have expressed interest.

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[1] Global consumption of fresh water is doubling every 20 years, while supply is not. The only way to demand long-term is through energy-intensive methods such as reverse osmosis.

11.0 Sales Strategy

SEAS sales strategy will be chosen according to the marketing plan. This will determine the niches of t exact product offerings and channels of distribution appropriate to those customers.

Assuming that the initial target markets are the US residential and small businesses, sales will be driver selling process in those niches. US residences may be broken down into existing structures (retrofit) an housing construction. In the new housing market, developers provide options packages to their custome end user) as part of the closing process. The options packages include such fixtures as major appliance: are customarily added to the mortgage payment. This has the advantage of making acquisition easy, an SEAS generator is a perfect candidate for inclusion in the closing process.

These developers then become our sales agents. We must educate them as to the benefits of SEAS gene their customers, which can be done through the National Association of Home Builders. There will als be a training program for installers, collateral literature, and appropriate advertising in trade journals.

In the residential retrofit market, a proper channel of distribution must be identified. Candidates would home improvement stores, heating and air conditioning repair (HVAC) businesses, and independent distributorships.

The small business retrofit market has the same potential channels of distribution as residential retrofit. Additionally the appropriate industry trade associations can be enlisted as allies in a piggyback marketi strategy, and industry consultants can become independent representatives. Their existing credibility w accelerate adoption of SEAS generators.

11.1 Sales Forecast

Although the market for SEAS generators potentially includes every home or village, vehicle and offic on Earth, we consider such a sales forecast presumptuous. Until SEAS has identified and licensed a spe device with known performance characteristics, we have restricted our forecasts as follows:

- We assume no sales until 2003, when Phase III starts.

- We assume a direct cost of sales of 20%.
- Products will have limited output (5-10 Kilowatts) and a footprint that may exceed vehicular con
- US domestic market, where statistics of market size and growth are readily available;
- Slow and accelerating penetration of target markets;
- No seasonal adjustments (although such may be appropriate for the new housing market, it repre: small effect).
- Competition will emerge, but will not reach market within the three-year forecasting window.

After aggressive developer industry educational efforts, we will have an educated sales force eagerly pı this as an ?add-on? to a sale already made. We estimate that, due to very high visibility of SEAS in 20C year of product launch, we estimate we will capture 1/4% of new home sales that year. (We will enhan sale with a huge warranty fund, probably $50MM escrowed at a major accounting firm to cover failure units and any product liability beyond our insurance coverage.) With the units installed and working sa reliably, we estimate 2% penetration in 2004 and 10% in 2005 (we expect competing product to share t market in 2005). This translates into US new home market revenues of $18MM in 2003, $150MM in 2 $750MM in 2005.

With 95MM of existing homes in the US, the market for home improvement sales is $475BB, assumin wholesale price of $5,000/unit. Because we will not have the advantage of a sales force eagerly promot as an ?add-on? to a sale already made, penetration of this market is expected to be slower than new hon with growth increasing as home improvement stores begin to carry the product and sufficient service te are trained to handle the volume. We estimate this market penetration at 1/100% in 2003, 1/4% in 2004 in 2005. This translates into US home improvement market revenues of $47.5MM in 2003, $1.19BB in and $19BB in 2005.

Because businesses generally take a cautious, yet rational approach to capital equipment expenditures, assume slow penetration of this market that rapidly accelerates toward 100% penetration of a market sh other over unity suppliers sa over unity becomes validated through real-world application. We estimate market capture in 2003, 1/4% in 2004, and 8% in 2005. Assuming only one unit per US small business, translates into revenues of $2MM in 2003, $50MM in 2004, and $1.6BB in 2005.

Sales will almost certainly grow quickly in the developed markets of Europe, Japan and Canada shortly beginning in the US. Canada has a population of 31MM, the European Union (15 nations) has 377MM, Japen 126MM. This, which we consider the non-US developed world, totals 534MM people, almost tw US population of 281MM. The average per capita income, as measured by Gross Domestic Product (G 23K (US), while the average US income is 33K. However, with a significantly higher cost of electricit times US), the motivation to convert is correspondingly higher. We project that total sales of SEAS ger in the non-US developed world will match US domestic.

The non-developed (aka "third world) countries has 90% of the world's population. As aid programs ge disseminate these devices throughout the third world, the volume of sales will grow exponentially until saturation when every village has a SEAS-type generator (either ours or a competitor's). These sales are forecast because of the difficulty establishing baseline statistics, and because the rate of adoption is dep on politics. Nevertheless, SEAS expects to develop highly aggressive and innovative partnership progr NGO's resulting in revenues that eclipse the total from the developed world.

Sales Forecast

Sales	2002	2003	2004	2005	2006
Foreign Residential and Small Business (Japan, Canada, Europe)	$0	$67,500,000	$1,390,000,000	$21,350,000,000	$42,450,000,
US Residential (new construction)	$0	$18,000,000	$150,000,000	$750,000,000	$1,250,000,0
US Residential (retrofit)	$0	$47,500,000	$1,190,000,000	$19,000,000,000	$38,000,000,
US Small Business	$0	$2,000,000	$50,000,000	$1,600,000,000	$3,200,000,0
Total Sales	$0	$135,000,000	$2,780,000,000	$42,700,000,000	$84,900,000,

Direct Cost of Sales	2002	2003	2004	2005	2006
Foreign Residential and Small Business (Japan, Canada, Europe)	$0	$13,500,000	$278,000,000	$4,270,000,000	$8,490,000,0
US Residential (new construction)	$0	$3,600,000	$30,000,000	$150,000,000	$250,000,00C
US Residential (retrofit)	$0	$9,500,000	$238,000,000	$3,800,000,000	$7,600,000,0
US Small Business	$0	$400,000	$10,000,000	$320,000,000	$640,000,00C
Subtotal Direct Cost of Sales	**$0**	**$27,000,000**	**$556,000,000**	**$8,540,000,000**	**$16,980,000,**

12.0 Web Plan Summary

Our website will be a communications channel that greatly leverages the effectiveness of our personnel dealing with the outside world. A company such as SEAS, doing groundbreaking work, is sure to attrac amounts of attention from the media, job seekers, and others. Prior to the web, this could easily have bı Now, an automated telephone system can direct routine calls to the website, as is often done by major corporations to filter out nonessential traffic.

We are aware of various tools that enable a professional, automated and effective website. The Internet Marketing Center of Canada specializes in such. Their offerings include:

- Consultation, including how to show up on search engines
- Autoresponders (programs that generate e-mail tailored to the inquiry)
- Opt-in e-mail (allowing targeted mass mailings to those requesting it)
- Threaded discussion boards (to give curiosity seekers somewhere to go)
- Website management software.

While we do not expect to actually close distribution deals or sell generators through the website (thou will be explored), it will serve the following purposes:

- Provide general information about the company to handle repetitive requests
- Sales literature, including collateral materials and agent information
- Investor information, supportive of IPO and updates
- Support the mass movement component of SEAS

The visionary purpose of SEAS, tied to personal gain (reduced electricity costs), will make it an ideal c for viral marketing. The web site will support this, including literature and actions to be taken by suppo

We may purchase banner ads at web sites of trade associations for housing (National Association of Hc Builders) and small business, the electric generator industry (SIC 3621), environmental groups and oth supportive of our cause. These ads will direct traffic to our web site, where information will be imparte action requested.

Affiliate marketing programs are one of the success stories of e-commerce. SEAS will explore setting ı programs with various profit and nonprofit entities that have websites with significant traffic.

A development plan for website implementation will be written shortly. The initial components will be documents about SEAS, and information about the "Z Prize".

13.0 Management and Personnel

Because SEAS is expected to break new ground in both rate of growth and some of the control issues it team members must be able to ?think outside the box? while being solidly grounded in their respective disciplines. All executives will be capable of thinking strategically while attending to detail. They will persons well aware of both their strengths and limitations. Highest integrity is vital, not only to achieve corporate culture but also to avert temptations which may be offered to some. Passion for our cause anc competence are both essential.

We will hire for integrity, ability and passion. Those who do what they love and for which they have aı it well. We will hire with great care, after extensive background checks. While this will be expensive, of mis-hires can be incalculable, especially when they may be hostile agents or plants.

We will comply with all necessary regulations, and reward excellence in all the standard ways: profit sl stock options, personal development opportunities, promotions and bonuses. It is understood that peopl hierarchy of needs and that personal gain should be aligned with SEAS' success. However, a key goal i will be that the person places the success of this Phase II above personal gain. That is, for our team meı SEAS is not merely a job but a cause.

Planning for Rapid Growth

Extreme rates of internal personnel growth carry proven dangers of mismanagement, chaos and failure. will minimize this risk in two ways. First, we will leverage our internal hires with automation tools (su very sophisticated, automated website), heavy use of external professionals and consultants. While sucl resources are typically more expensive, cost and cash flow will not be our primary considerations in Ph and III. Those will be secondary to controlling and minimizing our risks. Second, we plan to minimize operations and hires through strategic alliances with major corporations. Those corporations already ha infrastructure in manufacturing and marketing we would otherwise have to build.

Management Team (Phase I)

The Phase I management team is comprised of the CEO and a VP. In this phase, SEAS will also have s counsel, intellectual property counsel, and scientific advisors. While this team is very lean, it is sufficie objectives of Phase I.

President and Chief Executive Officer

Steven M. Greer, M.D. 46. Formerly Chairman of the Department of Emergency Medicine at a hospita Carolina, Dr. Greer is well-acquainted with high pressure situations requiring accurate, quick decisions including occasional triage. In 10 years' practice, Dr. Greer had *not a single malpractice claim filed agc* an extraordinary accomplishment. He was responsible for a staff of dozens. He is a lifetime member of Omega Alpha, the nation's most prestigious medical honor society.

In 1990, Dr. Greer created CSETI, a 501C3 non-profit focused on understanding and revealing the trutl advanced energy and propulsion systems and its significance. This culminated in the National Press Cl held in Washington, DC on May 9th, 2001, witnessed by over ? million persons. This major internation was accomplished with strictly volunteer staff and a budget of under $100K. Nevertheless, the presenta hailed as professional by those in attendance. Based on subsequent media coverage, we believe that ov million persons are aware of the Disclosure Project.

Representatives of the world's major media attended, including CNN World, ABC, NBC, Fox, BBC, T Telegraph, Pravda, Chinese News Agency, CBC, and many others. With SEAS having a planned publi budget in the seven figures and a solution to the world's energy crisis at hand, Dr. Greer expects that th conference to launch our over unity device will have far greater attendance and coverage.

Dr. Greer is known for his good judgment, decisiveness, intelligence, fixity of purpose, clarity of communication, diligence, thoroughness, strategic thinking, presentation and persuasive skills. He has demonstrated the ability to lead teams of professionals in high-stakes, fast-paced situations, and to artic vision and enroll into it luminaries from diverse fields. He is the author of two books, and is married wi children.

Dr. Greer has been seen and heard by millions world-wide on shows such as Larry King, CBS, the BB(in Japan, and numerous programs in the US, including the Art Bell and Armstrong Williams radio shov dozens of other TV and radio programs.

He has addressed tens of thousands of persons live at conferences and lectures around the world, incluc international convention of MENSA, the high-IQ group, the Institute of Noetic Sciences Board of Dire the Sierra Club.

Dr. Greer's energy technology expertise and contacts are a direct outgrowth of his CSETI work. He has and provided briefings for senior members of government, military, and intelligence operations in the U States and around the world, including senior CIA officials, Joint Chiefs of Staff, White House staff, se members of Congress and Congressional committees, senior United Nations leadership and diplomats, military officials in the United Kingdom and Europe, and cabinet-level members of the Japanese gover among others.

Dr. Greer has a very significant rolodex, including personal telephone numbers for (by way of exampl

? Joint Chiefs of Staff (Pentagon)

- ? Defense Intelligence Directors (sitting and predecessor)
- ? CIA and NSA
- ? EPA, NASA and other relevant Federal energy/propulsion agencies
- ? Numerous Committee Chairs in the US Congress and Senate
- ? UN officials and NGO's
- ? Substantial foreign governments and embassies
- ? Major research institutions (US Naval Research Labs, Battelle, DC-area think tanks, Aspen Ins
- ? Association of Foreign Intelligence Officers
- ? Major news media, domestic and foreign, including anchors
- ? Celebrities (top names in motion picture, television, music)
- ? Academic/university researchers (numerous institutions including MIT, Harvard, RPI, UVA, U
- ? Aerospace industry (senior scientists from Fortune 100)

As CEO, Dr. Greer is SEAS's primary spokesperson, motivator, and visionary. He will serve as Acting until Phase II, when we will hire a COO to whom all day-to-day insider functions will report.

Vice President of Planning and Product Development

Jonathan Kolber, 48. In 1996, following a two-year systematic search based upon a new business parad his own design, Mr. Kolber founded Hide & Seek Technologies, a company focused on manufacture of use CD/DVD discs. Potential applications include movie rentals without returns, ?try-before-you-buy? sales, software copy protection, expiring music discs, and internet security. As President, he built R&D management teams, wrote the business plan, attracted funding offers of seven figures, and took the con two filed patents, a $12 million valuation (pre dot-com) and product launch.

Previously, Mr. Kolber served as Vice President, Finance and CFO of Personalized Computing, Inc., th dominant company in the Hewlett-Packard Portable computer aftermarket, where he also administered human resource function. He also operated Corporate Growth Consultants, Inc., a consulting firm that consummated six and seven-figure private placements for technology startups as well as publicly trade and assisted with their business plans.

Mr. Kolber has an MBA from the Carlson School, University of Minnesota.

Senior Science Advisor

Theodore Loder, Ph.D. will assist SEAS in the qualification and development of technologies. Dr. Lod Professor of Earth Sciences at the Institute for the Study of Earth, Oceans and Space, University of Ne Hampshire.

Team Additions (Phase II)

Our objective is for SEAS to have an exceptionally short Phase II, between 6 and 12 months. This is de because Phase II is the period of great vulnerability?a working device has been acquired but has not yei massively disclosed. The Phase II team will consist of complete senior management, supported by a lea and appropriate consultants.

Ordinarily, a short window would pose huge challenges to timely staffing in that seasoned executives c 3-6 months to locate and hire. However, SEAS has a ?brain trust? (see below), which is expected to sup many of the needed persons.

During Phase II, we will add the following positions:

- Chief Operating Officer (COO) with a proven track record managing a rapidly growing orgar and outstanding people skills with a diverse workforce. This will be a person with a back defense contracting or other suitable experience, capable of understanding the nature of b projects and implementing the unusual strategic plan SEAS requires.
- VP Finance/CFO, an MBA/CPA knowledgeable about controls and establishment of manufa and joint venture financial/accounting systems, preferably experienced with international structures and entities
- VP Operations, experienced in manufacture of durable goods in diverse locales both contract house (this person has been identified);
- VP Marketing and Corporate Alliances, experienced in rollout of new consumer/small busine electronics products, and accomplished at creating and managing major strategic partners including technology transfer;
- VP Corporate Security, expert in prevention and countermeasures, with top-secret clearances contacts in major government agencies (this person has been identified);
- VP Human Resources, including recruitment, development, and compliance.
- A full-time VP R&D and CTO, expert in over unity theory and practical applications
- VP of Government/ External Affairs
- VP of Legal Affairs and General Counsel, as well as in-house patent counsel, capable of managing outside coun
- Support personnel as required, including a full-time webmaster/computer technical support p various special projects persons. Special projects personnel will have diverse skills and b join projects on an as-needed basis.

Team Additions (Phase III)

During Phase III, all functions identified and started during Phase II will be expanded and refined. A C with a reputation for building a world-class company will be added.

To the extent our reporting structure has not fleshed out to three levels of management (see below), this completed in Phase III.

Layers of support and appropriate management systems will be added, as appropriate.

Reporting Structure

In Phase I, all reports are directly to the CEO. In Phase II, there will be support staff reporting to VP's. III the structure is anticipated to grow traditionally, with Assistant VP's added followed by Managers. S control is planned to not exceed six direct reports per executive.

Reporting to the CEO are the COO and those executives focused on external or strategic activities, incl Planning and Product Development, VP Corporate Alliances, VP Legal Affairs and General Counsel, a Government and External Affairs. The CEO will interface with the Board of Directors on behalf of management.

Reporting to the COO are executives focused on inside or day-to-day activities, including VP Finance, Human Resources, VP Marketing, VP Operations, VP R&D and VP Corporate Security.

The eventual management structure is expected to resemble the following:

President & CEO

- VP Planning and Product Development
  - AVP (Assistant Vice President) Business Planning
  - AVP Product Development
  - AVP Technology Acquisition
- VP Government and External Affairs
  - AVP Military and National Security
  - AVP Media and PR
  - AVP Government Relations
  - AVP Mass Movement and Outreach to NGO's
- VP of Legal Affairs and General Counsel
  - AVP Patents
  - AVP Litigation
  - AVP International Law
  - AVP Constitutional and National Security Law
- Executive VP and COO (reports to CEO)
  - VP Finance and CFO
    - AVP Controller

- AVP Treasurer
- AVP Shareholder Relations

VP R&D and CTO

- AVP Think Tanks
- AVP Inventor Relations

VP Operations

- AVP Contract Manufacture
- AVP Operations Planning

VP Marketing & Corporate Alliances

- AVP Corporate Alliances
- AVP Sales
- AVP Customer Relations
- AVP Channel Development
- AVP Marketing Communications

VP Human Resources

- AVP Recruitment
- AVP Personnel Development
- AVP Compliance

VP Corporate Security

- AVP Physical Security
- AVP Electronic Security
- AVP Emerging Security Technology

Consultants & Service Providers

This function will be developed continuously as needs are refined. Following are exemplary potential p and firms:

Testing

Mark McCandlish studied engineering in the US Air Force. He has worked on classified projects regar(unity and electro-gravitic systems at major defense contractors including McDonnell-Douglas and Locl among others.

Thomas Valone, M.S. Physics, P.E., of Integrity Research Institute, a Maryland-based consulting firm specializing in evaluating the commercial viability of alternative energy and related projects. Valone w formerly employed as a Patent Examiner by the U.S. Patent Office, where he focused on alternative en(inventions.

Management

By way of example, Jack Welch offers a consulting service to CEO's. While able to pick and choose hi: we anticipate Mr. Welch will find this opportunity intriguing. If not Mr. Welch, other retired executive: Lee Iacocca are available.

Each functional are of management within SEAS will have its occasional and specific requirements for consulting expertise. SEAS will provide whatever support is necessary to enable its executives to make decisions and plans.

Regulatory Compliance and Permitting

This is a specialized area of expertise. Because a single regulatory body could potentially delay our intr of product into a national market, we will aggressively hire and use the best consultants for every conc(governing regulatory agency.

In addition, some national markets work on the basis of relationships and ?commissions? to appropriat(We will aggressively handle all such necessities, always operating within the letter of the law.

CPA's

A Big 6 firm with a practice accomplished in emerging companies, controls, and international taxation chosen.

Banking

During Phase I, Bank of America will be used. During Phase II, a bank such as Silicon Valley Bank fo(high-tech, rapidly growing startups may replace or supplement B of A. During Phase III, multiple bank relationships in different jurisdictions will be cultivated, with the primary one being an international m(center bank.

Counsel

This subject is sufficiently important that it is addressed in a separate section (see Legal).

Executive Search

This function will be engaged as needed during Phase II and Phase III. Our internal Security function w internal Human Resources in processing suitable candidates.

Boards

Board of Directors

SEAS will fulfill the legal requirements of having a proper Board of Directors. However, until Phase II reached, pressures of extraordinary nature are expected. These pressures will be directed against this B which will have controlling legal authority. Therefore, only persons who have demonstrated ability to s against such pressures will be invited onto the Board of Directors during Phase I and Phase II.

Initially: there will be three Directors:

- Dr. Steven M. Greer. Apart from his role as Chairman and Founder of SEAS, Dr. Greer has had l threatened and seen close associates killed by secret government operatives.
- Ambassador James George. The Ambassador held five postings for the government of Canada, i [list] [other qualifications?]
- Theodore C. Loder III, Ph.D. Dr. Loder is Professor of Oceanography and Earth Sciences, and M the Institute for the Study of Earth, Oceans and Space at the University of New Hampshire.

The Phase I investors have the right to appoint a non-voting Observer to the Board. Don Wilburn, a hig accomplished entrepreneur, has agreed to serve in this post.

We are open to a representative of the technology source and the investors sitting on the Board. Howev members *must* be persons who have proven ability to deal with extreme threats?both for their own well and that of SEAS. For us, this is a matter of the highest ethical and practical significance.

As SEAS moves into Phase III, and SEAS visibility and accomplishments make it harder for control in to ?put the genie back in the bottle?, the Board will be gradually expanded to include some world-reno executives and public figures who need not be willing to ?take a bullet?..

Once SEAS has commercialized this technology to the equivalent of 20% of today's nuclear power pro it is anticipated that controls can be relaxed and a more normal approach to oversight implemented.

Board of Advisors

SEAS will utilize Boards of Advisors to help steer senior management clear of perils and mistakes, and identify opportunities. These Boards will begin to be constituted in Phase I and will reach fruition in Ph

SEAS subscribes to the standard view that Boards serve three main purposes: add expertise/credibility, strategy, and open doors. SEAS's range of activities will be wider than perhaps any startup in history. T structure of Boards reflects this view.

Initially, one Board of Advisors wil be formed, comprised of approximately 12 persons with diverse sk expertise. This Board will later be split into a set of Boards, as described below.

Advisory boards will meet at minimum quarterly and report to the Board of Directors. These Boards w meet on an as-needed basis to advise the CEO and other senior executives on key strategic decisions.

While there will be overlap and some shifting of responsibilities amongst the Advisory Boards, it is ant that their structure will resemble the following:

? Environment, Social and Cultural Affairs. Dissemination of technology to third-world countrie assuring that no one is left out. Consideration of socially disruptive effects, such as job displace and how to minimize them. Avoidance of weaponization and other abuses.

? Government and Lobbying. Assuring that our voice is heard and taken seriously by elected off regulators. Structuring and running a PAC and other government-related entities, programs, and efforts as appropriate.

? Media and Public Relations. Relations with the fourth estate. Maximize SEAS access to organs public attention, including television, movies, radio, magazines, newspapers, and web-based me

? Legal Affairs. Establish coherent international patent strategy. Proactively minimize litigation national security legal threats. Protect our intellectual property (IP). Regulatory compliance.

? Science and Technology. Seek out technologies that improve upon SEAS portfolio. Advise on R&D efforts and keep abreast of others' R&D. Suggest directions for further research. Assist wi nominations for awards and participation in high-level scientific conferences.

? Energy Industry. Establish and coordinate consortium, as appropriate, and advise on policy go relations with industry.

? Transportation Industry. Establish and coordinate consortium, as appropriate, and advise on po governing relations with industry.

? Other Industries. As needed.

? Internal Security. Protect SEAS from infiltration or subversion, whether technological or perso Proper confidentiality, secrecy and need to know policies and procedures. Awareness and deplo latest relevant technologies.

? Strategic Management. Advise senior management on issues regarding planning, policy, and p solving as appropriate. (Note: this Advisory Board will function similarly to a Board of Directo without the authority to control senior management or the personal liability. It may be dissolved Board of Directors can function more normally, in Phase III.)

Brain Trust

Often, a rapidly growing startup has difficulty attracting key talent in a timely fashion. However, we ha factors in our favor: an extraordinary network built by Dr. Greer over 11 years, the fact that few high-te startups are now funded and hiring, and the appeal of our particular vision.

During Phase II, SEAS will convene a meeting to be attended by up to 200 highly qualified managers, : and technologists known to Dr. Greer. This meeting will be to identify the following:

? Advisory board initial membership

? Executives

? Support personnel

? Consultants

Dr. Greer has already identified many of those who will be invited, and has ready access other expe needed.

Approach to Hiring and Compensation

To supplement its network and assist with screening candidates, SEAS will use top-tier executive s firms as needed.

All key hires will be subjected to extensive background checks, drug and psychological testing. Ou Security personnel will support Human Resources in this process. When practical, SEAS will hire p for a trial period during which termination is at will. Employment contracts will be issued as appro key personnel who have proven their worth.

Like most startups, to conserve capital SEAS will hire persons at below-market salaries until Phase will structure incentive stock options to offset the difference between market value and cash paid. F example, if services are being purchased for $50K of cash but their demonstrable market value was the difference of $100K would be earned in stock options at the then prevailing valuation of SEAS SEAS stock valuation will presumably rise rapidly, thereby minimizing dilution but still offering a incentive.

This principle of market valuation will guide our offers of compensation to employees, officers, dir advisors and consultants, most of whom will presumably want a combination of cash and equity. [I like to see a rational approach to this issue. The above proposal is one such approach. Traditional n another, but more ad hoc.]

13.1 Personnel Plan

Our personnel plan is based on three discrete phases of growth. Key personnel assumptions:

- Phases. Phase I will end in May 2002 upon licensing of a device. Phase II will end in January 20 disclosure of a kilowatt-producing prototype of the device. Phase III is the commercialization of device.
- Phase II is the time of vulnerability when SEAS will have a device but not yet the protection of n disclosure. Therefore, Phase II hiring will focus on building a core leadership team, with limited staff, striking a balance between power and speed.
- Hiring process. From the commencement of Phase II, it will take an average of 3 months to ident hire the remaining VP's, excepting the VP of Corporate Security who is known and will be hired immediately, and the CTO, should this person be our licensing inventor.
- VP's. Nine are targeted. All hired by end of Phase II. Average salary in Phase II is $72K, in Phas $100K. Compensation will be supplemented by aggressive stock options.
- Assistant VP's and Managers. In Phase III, these are added, averaging two per VP in 2003 and th 2004. These grow by 50% in 2005 and 2006. $75K average salary.
- Staff and support personnel. In 2002, we will hire one staff person in June and two more in Augu

2003, there will on average be three staffers per Assistant VP and/or Manager, and nine in 2004, average salary of $50K. These double in 2005 and again in 2006.

- Total Employees. We plan for 14 in 2002, 83 in 2003, 203 in 2004, 350 in 2005, and 667 in 2006. This assumes that SEAS makes heavy use of outside professionals and consultants and l itself through major corporate alliances.

Personnel Plan

	2002	2003	2004	2005	2006
President and CEO	$84,000	$240,000	$240,000	$240,000	$240,00C
EVP and Chief Operating Officer	$56,000	$150,000	$150,000	$150,000	$150,00C
VP Planning/Product Development	$52,000	$100,000	$100,000	$100,000	$100,00C
VP Finance and CFO	$30,000	$100,000	$100,000	$100,000	$100,00C
VP Legal Affairs/General Counsel	$30,000	$100,000	$100,000	$100,000	$100,00C
VP R&D and CTO	$42,000	$100,000	$100,000	$100,000	$100,00C
VP Marketing and Corporate Alliances	$30,000	$100,000	$100,000	$100,000	$100,00C
VP Corporate Security	$42,000	$100,000	$100,000	$100,000	$100,00C
VP Human Resources	$30,000	$100,000	$100,000	$100,000	$100,00C
VP Operations	$30,000	$100,000	$100,000	$100,000	$100,00C
VP Government and External Affairs	$30,000	$100,000	$100,000	$100,000	$100,00C
Assistant Vice Presidents & Managers	$0	$1,350,000	$2,250,000	$1,125,000	$562,50C
Staff and Support Personnel	$78,000	$2,700,000	$8,100,000	$16,200,000	$32,400,
Total Payroll	$534,000	$5,340,000	$11,640,000	$18,615,000	$34,252,
Total People	14	83	203	350	667
Payroll Burden	$160,200	$1,602,000	$3,492,000	$5,584,500	$10,275,
Total Payroll Expenditures	**$694,200**	**$6,942,000**	**$15,132,000**	**$24,199,500**	**$44,528,**

14.0 Legal

SEAS will face perhaps the greatest legal pressures ever encountered by a startup. Presumably, every le extralegal measure will be taken to prevent our success. We will need deep and extensive counsel.

Legal counsel is required in these areas: patent, intellectual property, securities, litigation, general coun international, constitutional and national security. An important strategic decision yet to be made is wh seek one huge law firm capable of addressing all SEAS needs, or to instead hire specialist firms with in General Counsel coordinating them. The current plan is to hire top specialists, using the top commercia litigation firm as General Counsel.

Specialists in patent and securities will be engaged. Our general counsel will have an outstanding track commercial litigation, and may also have expertise in intellectual property. Following is an assessment counsel in each stage:

Phase I

Securities lawyers will guide Phase I capitalization and corporate structure. We have selected Berliner, Walter and Gallegos. Estimate: $11K.

Intellectual property lawyers will approve testing and licensing agreements. Estimate: $6K.

Patent lawyers will search and write opinion letter(s) on candidate technology(ies). Estimate: $3K.

Phase II

The VP of Legal Affairs will be a full-time hire. This person will have experience coordinating senior a both internal and external, performing various functions for a multinational corporation.

Patent counsel will be hired in-house. This counsel will be supplemented by outside counsel. Finnegan Henderson in DC, perhaps the world's preeminent patent law firm, has agreed to serve as counsel. Nev we will have a *second* patent law firm prepare the actual filings and then use Finnegan Henderson to re them as if employed as hostile counsel, preparing to break our patent. The second law firm is Knobbe Ma Olson & Bear LLP, founded in 1962. With more than 150 lawyers who specialize in intellectual property law, the firm is on largest intellectual property law firms in the United States. One reason to have this firm prepare the filings is their employ o Ridgely, a physicist published in the field of ZPE who works for them as a "patent scientist" drafting claims. This two-pron strategy will give SEAS the benefit of top-quality ZPE patent drafting and top-quality "immunization" against litigation. Wl legal strategy can be perfect, this one should greatly strengthen our patent portfolio.

We will be preparing multiple filings to be made in most or all jurisdictions. To minimize chances of na security seizures, patents will be filed contemporaneously in multiple jurisdictions in native languages. therefore, *not* use the PTC filing process. If a patent issues in a single jurisdiction that participates in th Trade Organization, it will provide a beachhead for entering other markets. In addition, counsel has dev strategy to minimize chances of a patent being seized or suppressed under the standard Section 181 and perpetual motion? arguments. We will avoid making claims that trigger attention to these topics, and w seek to file design patents rather than utility ones; later amending them to include functional claims. Es $2MM. Finnegan Henderson is our patent counsel.

A major commercial law firm will be hired as General Counsel and to handle litigation. [candidate: Sib Austin.] Note: either in Phase II of Phase III, will be prudent to have two other major firms on retainer spend the money; estimated retainer $25K) to assure that, if SEAS is in litigation against another client primary firm, we have backup litigators if our primary one recuses itself. Estimate: $1MM.

Securities/M&A lawyers capable of shepherding an initial public offering and 10-figure private placem be retained. Estimate: $500K.

International specialists, to perform jurisdictional planning and structuring of entities. Estimate: $500K

Constitutional, national security and civil rights lawyers will be retained for the following purposes:

- Defense against an illegal Section 181 order
- RICO action vs. US and defense contractors
- Civil rights action for abused witnesses.

The head of the American Trial Lawyers Association has expressed interest in leading the RICO and ci actions. We have corroborated witness testimony that rogue groups masquerading as Federal agents ha harassed, kidnapped and even tortured military personnel and civilians. Estimate: three retainers to requ $5MM.

Phase III

Many legal functions will be brought in-house. Specialists will continue to be used on an as-needed bas

A Board of Legal Advisors will provide strategic guidance on all major matters, and guide/advise our o legal team.

Extraordinary legal issues including special control structures (aka controlling legal authority), and ille national security challenges and lawsuits seeking to prevent the release of this technology will be faced

In addition, an interesting Phase III strategy to explore with counsel would be feasibility of retaining al largest/most effective US commercial litigation law firms and having each do some nominal piece of w the transactions aren't sham. Then we could potentially demand that any of them suing us recuse itself. might force opponents to sue us with second-string law firms.

We intend to have $500MM available for legal activities in Phase III, 2003 - 2004.
A fraction of this is for planning, patent filings, and normal corporate work. The remainder is for legal
Our goal is to have a war chest comparable to what Microsoft spent on antitrust and the tobacco industr spent on lawsuit defense.

15.0 Corporate Security

Security will play a far more important role in SEAS than in an ordinary startup. We plan to hire a VP Security, to address the following concerns:

? Physical security for facilities and key personnel, who may be targeted by control groups as we more conventional parties (such as oil and gas interests) who feel threatened

? Electronic security for our facilities and intellectual property;

? Physical redundancy of all key intellectual property, including offshore legal jurisdictions and off-site storage facilities for data and records;

? Screening of job applicants beyond ordinary reference checking;

? Establishment and testing of ?fail-safe? or ?dead man switches? to assure that, in the event of e and illegal attempts at suppression we have credible responses ready to implement. For example, or has a triple-vetted device, plans for its manufacture will immediately be delivered to no fewer tl parties able to widely disseminate them. These plans will be held in secrecy until and unless poj release is necessary, in which case those parties will be released from their Non-disclosure (ND, agreements with SEAS, by invoking a pre-determined clause.

? Upon each successful phase of testing, we will disseminate results to trusted persons.

? At the end of Phase I, we will publish information about how the device works, with key infon blacked out. However, the missing information will be reposed in the hands of trusted persons r disclose it publicly should illegal suppression be attempted.

16.0 Research and Development

SEAS has identified multiple potential sources of over unity technology. While others may appear, we that our licensed technology will come from among these candidates.

Most of these sources were referred by parties well-known to our CEO. One has for ten years been a bu associate and friend of our VP.

Some have wrongly called over unity ?perpetual motion?, which physics declares impossible. In fact, a theory is incomplete, there are [cumbersome] reproducible indications that over unity instead taps a dif level of energy that is in constant motion. By placing a ?paddle? into this ?river?, power can be tapped a dam draws from a river.

From SEAS perspective, theory is irrelevant provided we can produce net gain of wattage, reliably and with successful scale up to kilowatt production. There are technologies in widespread use that were not understood for a long time, or are yet to be understood. Examples include aspirin and digitalis. The bun flight baffled researchers until recently.

Candidate technologies fall into the following broad categories:

? Quantum-vacuum/ zero-point field energy access systems and related advances in electromagn theory and applications,

? Electrogravitic and magnetogravitic energy and propulsion,

? Room temperature nuclear effects, and

? Electrochemical and related advances to internal combustion systems which achieve near zero emissions and very high efficiency.

For practical purposes, these can be lumped into two broad categories: "power up" and "negative resist systems. The distinction is that a power up system requires some initial input of electricity to begin ope Once running, it loops some of its excess power back into itself to continue running. A negative resisto other hand, continuously generates power whenever it is switched on. It requires no outside electrical ir run.

Once SEAS demonstrates a continuous net gain of wattage in controlled laboratory conditions, the only theory will be to understand what is happening, so we can optimize the effect. We will then have move new context.

Following are the key R&D activities planned for each stage.

Phase I

In this stage, we will identify, qualify, test and license a device. This will be a proof of concept prototy produces net gain of wattage.

SEAS has identified highly reputable laboratories that stand ready to test devices for us and report the r One will charge us; the others will not. Laboratories include: University of New Hampshire, University Virginia, MIT, Harvard, Rensselaer Polytechnic, Lawrence Livermore, Berkley, DOE and US Naval R Labs. There are other laboratories available to SEAS as well.

External tests will consist of transporting a candidate device, under 24 hour armed guard, to the externa There, Ph.D. engineering professors will place the device in a controlled environment, confirm the abse conventional sources of energy, and digitally measure wattage in/out, including a standard test confirm capability to perform under load. They will record the net gain of usable power, and examine the devic internal workings for signs of fraud (e.g. hidden batteries, cesium, etc.) They will prepare a written rep institutional letterhead.

Here are the steps of device qualification, testing and acquisition:

1. Pre-screen the candidates.
2. Determine how closely the survivors match our ideal (See Appendix, ?Criteria for an Ideal Technology?). This wil meeting with the best candidates in person to assess non-technical aspects of the deal.
3. Have the remainder tested on-site by our internal experts, until the best candidate has been identified.
4. Test the best candidate sequentially in three labs.
5. If any test is unsuccessful, repeat step 4 with the next candidate.
6. Assuming successful tests, exercise our option to license the technology.

Note: Should we be unable to find a suitable device ready for testing, SEAS has earmarked up to $2 Phase I funding for completion of promising devices. In addition, SEAS intends to offer $100K form of the ?Z Prize?; an up-front licensing fee to the first inventor providing a device that surv triple-testing.

The Z Prize would be promoted by Dr. Greer via national media appearances, casting a wide net fo candidate devices that may be presently hidden in private test facilities. Our second contingenc licensure and development of a transitional device that is energy-related but not over unity. Sev devices have been identified.

Phase II

If it has not yet been accomplished in Phase I, SEAS will arrange testing of a device in a government c testing lab, such as Huntsville, AL. The advantage of such a lab is that major federal contracts can be a based on the results. For example, confirmation would allow SEAS to seek a contract to power satellite thereby reducing or eliminating the multi-billion dollar annual loss of satellites due to batteries wearing ablation of solar panels by continual micrometeoroid bombardment.

In this stage, we will seek to license two additional technologies. These will serve as contingent backup first technology. We will also develop the first licensed technology from a proof of concept prototype t production prototype that produces 5-10 kilowatts, capable of powering a home or small business.

Our development team will be supplied a fully equipped lab. The team will probably be comprised of a administrator and the inventor, supported by appropriate engineers, technicians and scientists.

Phase III

In this stage, we will reduce the pre-production prototype to a commercially viable package; either a manufacturable product or licensable specifications compliant with relevant regulatory and ISO standa

We will have multiple labs, verifying one another's findings and working on various niche applications technologies. Each lab will have a Director, and the Directors will report to the CTO.

While it is difficult to capture the range of potential R&D efforts, the environmental applications in par are quite exciting. Following is the basis for our confidence in this application.

These devices access the ambient electromagnetic and so-called zero point energy state to produce vast of energy without any pollution. Such systems essentially generate energy by tapping into the ever-pres quantum vacuum energy state ? the baseline energy from which all energy and matter is fluxing. All m energy is supported by this baseline energy state and it can be tapped through unique electromagnetic c and configurations to generate huge amounts of energy from space/time all around us. These are NOT p motion machines nor do they violate the laws of thermodynamics ? they merely tap an ambient energy around us to generate energy.

This means that such systems do not require fuel to burn nor atoms to split or fuse. They produce no wa byproducts. They do not require central power plants, transmission lines and the related multi-trillion d infrastructure required to electrify and power remote areas of India, China, Africa and Latin America. T systems are site-specific: they can be set up at any place and generate needed energy. Essentially, this constitutes the definitive solution to the vast majority of environmental problems facing our world. (Se Appendix, Towards a Sustainable Environment.)

SEAS may also create R&D projects that focus on the following:

? Medical applications;

? Electrogravitic transportation and the infrastructure necessary to its widespread implementatio

? Responsible use of psychotronic technologies to effect change at a distance and create advance of communications.

17.0 Financial Plan

17.1 Important Assumptions

While the market for electricity grows at varying rates according to economic conditions, SEAS' funda business is the replacement of existing power producing infrastructure, and creation of new infrastructu none was possible. This assures that most of SEAS' revenue base in the next few years will be immune economic downturns.

We also assume that no competition will emerge in the next three years. While significant competition virtually certain to eventually manifest, due to the numerous viable approaches to new energy generatic must first pave the way by changing the political and social climate. Our success will enable others' suc

General Assumptions

	2002	2003	2004	2005	2006
Short-term Interest Rate %	10.00%	10.00%	10.00%	10.00%	10.00%
Long-term Interest Rate %	10.00%	10.00%	10.00%	10.00%	10.00%
Tax Rate %	30.00%	30.00%	30.00%	30.00%	30.00%
Expenses in Cash %	50.00%	50.00%	0.00%	0.00%	0.00%
Sales on Credit %	100.00%	100.00%	100.00%	100.00%	100.00%
Personnel Burden %	**30.00%**	**30.00%**	**30.00%**	**30.00%**	**30.00%**

17.2 Key Financial Indicators

SEAS growth in revenues and expenses is very high from 2002 to 2003, shifting from startup to operati

Expenses, excluding CGS, stabilize in 2004 while revenues rise rapidly as market acceptance is attaine growth beginning to slow in 2006 as competition emerges.

Assuming that SEAS will deal only with large distributors, 100% of sales are forecast to be on credit, v average accounts receivable cycle being 60 days. 50% of purchases are forecast to be for cash until 200 the company's revenue base, profitability and established credit will allow 100% credit purchases, with average accounts payable cycle of 30 days. [change all text in Plan to 10 point except headers.]

Inventories are forecast to turn 6 times per year. To maximize turns and minimize inventory financing, management will implement just-in-time manufacturing systems including bill of material (BOM) plan

17.3 Projected Profit and Loss

The Profit and Loss statement reflects pro forma projections for three very different phases. Phase I beg January, 2002 and is planned to end in May 2002 upon licensure of a device. Phase II is planned to beg

2002 and end in January 2003 upon public disclosure of our device and commencement of a massive P financing and IPO.

No revenues are forecast until Phase III, which is scheduled to begin in January 2003. We expect to be booking orders by second quarter. Forecasts of revenues are rough estimates at this point, based on ass as to value of the SEAS generator to the target markets and rates of penetration. These will be refined i II.

Costs are reasonably predictable for Phase I, approximate for Phase II, and rough for Phase III. In parti Cost of Goods Sold is set at 20% of revenues, and will surely drop as volumes increase, especially if manufacturing is vertically integrated. Personnel requirements will be refined in Phase II with clarificat marketing and manufacturing strategies.

Phase I has the following planned expenditures:

MINIMUM FUNDING--THREE FREE UNIVERSITY LAB TESTS

VP Salary	$10,000
Travel	$10,000
Consultants for internal test (fees and airfare)	$10,000
Transportation & security for device (ground travel, two 24 hr. guards)	$30,000
Patent search & opinion letter	$3,000
Term Sheet-related expenses	$11,000
Contracts (license, testing, NDA)	$6,000
Miscellaneous	$5,000
contingency factor	$15,000
TOTAL MINIMUM	$100,000

MAXIMUM FUNDING--allows paid certified Federal lab test

(Above from Minimum)	$100,000
Federal Lab Certified test (assumes technology passes free tests)	$40,000
Transportation & security for device (ground travel, two 24 hr. guards)	$20,000
Legal for Phase II Funding	$25,000
contingency factor	$15,000
Fund for assembly of devices & Z Prize	$300,000
TOTAL MAXIMUM	$500,000

The Minimum Phase I funding is $100K, and already assured based on commitments in hand. The Ma Phase I funding is $500K, of which 1/3 is already committed. If the actual funds raised are less, the fun completion and acquisition of a device and the Z Prize will be reduced accordingly.

Phase II Line item explanations:

- Office Equipment is $5Kaverage per hire, with that amount expended annually on replacement.
- Utilities are budgeted at $50/month per employee.
- Initially, we will need to rent facilities for US headquarters and R&D. However, we will look to

and develop our own office park early in Phase III for reasons of both security and economy. (Se "Explain Projected Cash Flows" for details.)

- The Brain Trust hiring event will happen in July at a T&E cost of $200K.
- In June, we pay a $1MM retainer to Finnegan & Henderson, the world's top patent law firm, to a: undivided attention to our requirements.
- In June, we give another $1MM retainer to Sibley & Austin, the world's largest commercial law 1 serve as General Counsel. Inside information states that this firm almost never loses a case.
- We budget $500K for legal fees associated with preparing for an IPO.
- Key man life insurance on Dr. Greer, if available, will be very expensive due to his history of ma melanoma.
- Our Regulatory Testing and Clearances budget of $2MM in Phase II pays for the top consultants. including testing and filing fees with each agency that may possibly claim jurisdiction over a SE device, including the quasi-public Underwriters Laboratories (UL), Consumer Product Safety Commission (CPSC), Department of Energy (DOE), and Environmental Protection Agency (EP/ this budget may be premature, as the device must be functionally mature, it is necessary to plan f rapid case.
- We plan to spend $25K for accounting planning for multijurisdictional entities in Phase II, to avc decisions that could prove costly in Phase III. We also plan to spend $25K in Phase II preparing : IPO.
- We need an extraordinary expenditure for physical security for our facilities and personnel. Whil MJ-12 allies may protect us against exotic psychotronic attacks (without whose help there is no k defense), they may not defend us against conventional attacks by non-MJ-12 parties. For these, v require armored vehicles, bodyguards, and surveillance/defense for our physical facilities. We ha budgeted $5MM for these items in Phase II.

Phase III is the roughest estimation at this time. We assume rollout of manufactured product in first qua 2003. Although this is exceptionally aggressive schedule for a manufactured product, the simple nature unity devices suggests that with sufficient capital and focus it is possible.

Phase III line item explanations:

- Revenues are based on US domestic sales to small businesses and residences, and comparable sa Japan, Canada and Europe. No revenues are forecast at this time for larger buildings or to Third-' markets.
- Our insurance will not only include the extraordinarily high key man policies of Phase II but alsc product liability policy that will probably be very expensive due to the novelty of SEAS generatc is estimated at $10MM/year.
- It will be necessary to expand our US campus with significant additional office space, and to acq R&D facilities offshore.
- We have budgeted Regulatory testing and clearances at $25MM/year. Although the basic US app should be in hand by early in Phase III, each nation may conceivably present its own regulatory t navigate, partly due to legitimate safety concerns and partly as an obstacle course.
- Our accounting requirements will include continuing multi-jurisdictional planning and coordinati tax and control purposes, as well as the normal reporting requirements of a multinational public c Estimated at $10MM/year.
- Travel and entertainment reflects not only the normal requirements of business travel, meals and accommodations but also the need to wine and dine influential persons and facilitate or host ever designed to gain audience. Estimated at $50MM/year.

- Advertising and promotion is budgeted at $1.5BB/year. While substantial, this is necessary to su conduct consumer education, build brand awareness, counter mis- and dis-information, and build support on a worldwide basis.
- SEAS will have its own political action committee (PAC). In addition, we will actively lobby bo domestically and abroad, pursuing every legal means to gain the ear and the support or vote of ar decision-maker. This is budgeted at $500MM/year.
- Office equipment remains budgeted at $5Kper employee, with annual replacement.
- Lab equipment and facilities is budgeted at $1.4MM in 2002, $5MM in 2003, $25MM in 2004, $ in 2005 and $100MM in 2006. This is an area where everything spent, if wisely managed, will re multifold because the range of applications is extraordinary.
- In Phase III, we have also budgeted $50MM/year for state-of-the-art surveillance, counterterroris other security equipment.

Pro Forma Profit and Loss

	2002	2003	2004	2005	2006
Sales	$0	$135,000,000	$2,780,000,000	$42,700,000,000	$84,90
Direct Cost of Sales	$0	$27,000,000	$556,000,000	$8,540,000,000	$16,98
Other Production Expenses	$0	$0	$0	$0	$0
	------------	------------	------------	------------	---------
Total Cost of Sales	$0	$27,000,000	$556,000,000	$8,540,000,000	$16,98
Gross Margin	$0	$108,000,000	$2,224,000,000	$34,160,000,000	$67,92
Gross Margin %	0.00%	80.00%	80.00%	80.00%	80.00%
Operating Expenses:					
Advertising/Promotion	$2,000,000	$1,500,000,000	$1,500,000,000	$1,500,000,000	$1,500,
Lobbying and PAC funds	$1,000,000	$500,000,000	$500,000,000	$500,000,000	$500,0
Travel & Entertainment	$708,000	$50,000,000	$50,000,000	$50,000,000	$50,00
Office Equipment	$60,000	$830,000	$2,030,000	$3,500,000	$6,665,
Security Measures	$5,000,000	$50,000,000	$50,000,000	$50,000,000	$50,00
Regulatory Testing and Clearances	$2,000,000	$25,000,000	$25,000,000	$25,000,000	$25,00
Lab Equipment and Facilities	$1,400,000	$5,000,000	$25,000,000	$50,000,000	$100,0
Miscellaneous	$5,000	$10,000,000	$10,000,000	$10,000,000	$10,00
Payroll Expense	$534,000	$5,340,000	$11,640,000	$18,615,000	$34,25

Payroll Burden	$160,200	$1,602,000	$3,492,000	$5,584,500	$10,27
Depreciation	$0	$2,916,000	$4,156,000	$5,700,000	$8,833,
Utilities	$3,500	$49,800	$121,800	$210,000	$399,9
Insurance	$35,000	$10,000,000	$10,000,000	$10,000,000	$10,00
Rent	$35,000	$100,000	$0	$0	$0
Accounting	$50,000	$10,000,000	$10,000,000	$10,000,000	$10,00
Legal (non-patent)	$1,531,000	$250,000,000	$250,000,000	$250,000,000	$250,0
Patents	$1,003,000	$50,000,000	$50,000,000	$50,000,000	$50,00
Contract/Consultants	$627,000	$100,000,000	$100,000,000	$100,000,000	$100,0
R&D	$300,000	$50,000,000	$100,000,000	$100,000,000	$100,0
Contingency	$700,000	$10,000,000	$10,000,000	$10,000,000	$10,00
	------------	------------	------------	------------	---------
Total Operating Expenses	$17,151,700	$2,630,837,800	$2,711,439,800	$2,748,609,500	$2,825,
Profit Before Interest and Taxes	($17,151,700)	($2,522,837,800)	($487,439,800)	$31,411,390,500	$65,094
Interest Expense Short-term	$42	$0	$0	$0	$0
Interest Expense Long-term	$0	$100,410	$191,229	$172,049	$152,8
Taxes Incurred	$0	$0	$0	$9,423,365,535	$19,52
Extraordinary Items	$0	$0	$0	$0	$0
Net Profit	($17,151,742)	($2,522,938,210)	($487,631,029)	$21,987,852,916	$45,56
Net Profit/Sales	**0.00%**	**-1868.84%**	**-17.54%**	**51.49%**	**53.67%**

17.4 Projected Cash Flow

In Phase I, Dr. Greer advanced $2,500 for travel expenses that will be reimbursed in March.

We expect $150K of investment to close in February, and $150K again in March, and $200K to close i
This completes Phase I funding of $500K.

We expect to close Phase II funding in Summer of 2002 in the amount of $2-20MM. This may come in tranches, but $4MM in June would cover the planned uses of cash. Sources may include equity, conver debt, and possibly some fast-track government grants. It is forecast as equity here.

We expect to close Phase III funding in 2003 in the amount of $3BB. This will probably come in sever tranches, and may include a mixture of debt and equity. It is forecast as equity here. Slightly over $2.5I cover the planned uses of cash for 2003, and $442MM would cover the shortfall in 2004.

In 2003, SEAS plans to buy an office building and land. Based on actual Charlottesville opportunities, believe this can be purchased for $1MM with $500K of imprevements required. Assuming a 20% downpayment, this will require a $1.2MM 20 year mortgage. Additionally, we plan to purchase two R& facilities in countries that deal with the US at arm's length, for redundancy. We estimate each of these t $500K for land and buildings. The grand total is $2.2MM. At 6% interest, financing this requires annua payments of $191,806.

No other financing activities are planned at this time, although it is likely that revolving lines of credit f inventories and receivables will be developed as well as a general line of corporate credit for emergenc extraordinary opportunities. The basis for extension of credit will be, initially, the CEO's personal ratin later the bankers' desire for SEAS as a client. Multiple banking relationships will be established.

Pro Forma Cash Flow

Cash Received					
Cash from Operations:					
Cash Sales	$0	$0	$0	$0	$0
From Receivables	$0	$135,000,000	$2,780,000,000	$42,700,000,000	$84,900,000,
Subtotal Cash from Operations	$0	$135,000,000	$2,780,000,000	$42,700,000,000	$84,900,000,
Additional Cash Received					
Extraordinary Items	$0	$0	$0	$0	$0
Sales Tax, VAT, HST/GST Received	$0	$0	$0	$0	$0
New Current Borrowing	$2,500	$0	$0	$0	$0
New Other	$0	$0	$0	$0	$0

Liabilities (interest-free)					
New Long-term Liabilities	$0	$2,200,000	$0	$0	$0
Sales of other Short-term Assets	$0	$0	$0	$0	$0
Sales of Long-term Assets	$0	$0	$0	$0	$0
New Investment Received	$20,500,000	$3,000,000,000	$0	$0	$0
Subtotal Cash Received	$20,502,500	$3,137,200,000	$2,780,000,000	$42,700,000,000	$84,900,000,[illegible]

Expenditures	2002	2003	2004	2005	2006
Expenditures from Operations:					
Cash Spent on Costs and Expenses	$8,228,771	$1,325,140,105	$0	$0	$0
Wages, Salaries, Payroll Taxes, etc.	$694,200	$6,942,000	$15,132,000	$24,199,500	$44,528,250
Payment of Accounts Payable	$7,740,363	$1,246,976,491	$3,134,193,741	$19,647,480,127	$38,176,665,[illegible]
Subtotal Spent on Operations	$16,663,333	$2,579,058,595	$3,149,325,741	$19,671,679,627	$38,221,193,[illegible]
Additional Cash Spent					
Sales Tax, VAT, HST/GST Paid Out	$0	$0	$0	$0	$0
Principal Repayment of Current	$2,500	$0	$0	$0	$0

Borrowing					
Other Liabilities Principal Repayment	$0	$0	$0	$0	$0
Long-term Liabilities Principal Repayment	$0	$191,806	$191,806	$191,806	$191,806
Purchase Other Short-term Assets	$0	$0	$0	$0	$0
Purchase Long-term Assets	$0	$2,200,000	$0	$0	$0
Dividends	$0	$0	$0	$0	$0
Adjustment for Assets Purchased on Credit	$0	($2,200,000)	$0	$0	$0
Subtotal Cash Spent	$16,665,833	$2,579,250,401	$3,149,517,547	$19,671,871,433	$38,221,385,
Net Cash Flow	$3,836,667	$557,949,599	($369,517,547)	$23,028,128,567	$46,678,614,
Cash Balance	**$3,836,667**	**$561,786,265**	**$192,268,719**	**$23,220,397,285**	**$69,899,011,**

17.5 Projected Balance Sheet

[should explain key numbers here once firm.]

Pro Forma Balance Sheet

Assets					
Short-term Assets	2002	2003	2004	2005	2006
Cash	$3,836,667	$561,786,265	$192,268,719	$23,220,397,285	$69,899,01
Accounts Receivable	$0	$0	$0	$0	$0
Inventory	$0	$0	$0	$0	$0

Other Short-term Assets	$0	$0	$0	$0	$0
Total Short-term Assets	$3,836,667	$561,786,265	$192,268,719	$23,220,397,285	$69,899,01
Long-term Assets					
Long-term Assets	$425	$2,200,425	$2,200,425	$2,200,425	$2,200,425
Accumulated Depreciation	$0	$2,916,000	$7,072,000	$12,772,000	$21,605,00
Total Long-term Assets	$425	($715,575)	($4,871,575)	($10,571,575)	($19,404,57
Total Assets	$3,837,092	$561,070,690	$187,397,144	$23,209,825,710	$69,879,60

Liabilities and Capital

	2002	2003	2004	2005	2006
Accounts Payable	$488,408	$78,652,023	$192,801,311	$1,227,568,768	$2,331,447,
Current Borrowing	$0	$0	$0	$0	$0
Other Short-term Liabilities	$0	$0	$0	$0	$0
Subtotal Short-term Liabilities	$488,408	$78,652,023	$192,801,311	$1,227,568,768	$2,331,447,
Long-term Liabilities	$0	$2,008,194	$1,816,388	$1,624,582	$1,432,776
Total Liabilities	$488,408	$80,660,217	$194,617,699	$1,229,193,350	$2,332,880,
Paid-in Capital	$20,506,425	$3,020,506,425	$3,020,506,425	$3,020,506,425	$3,020,506,
Retained Earnings	($6,000)	($17,157,742)	($2,540,095,951)	($3,027,726,980)	$18,960,12
Earnings	($17,151,742)	($2,522,938,210)	($487,631,029)	$21,987,852,916	$45,566,09
Total	$3,348,683	$480,410,474	($7,220,555)	$21,980,632,361	$67,546,72

Capital					
Total Liabilities and Capital	$3,837,092	$561,070,690	$187,397,144	$23,209,825,710	$69,879,60
Net Worth	**$3,348,683**	**$480,410,474**	**($7,220,555)**	**$21,980,632,361**	**$67,546,72**

17.6 Business Ratios

Ratio Analysis

	2002	2003	2004	2005	2006	Indus Profil
Sales Growth	0.00%	0.00%	1959.26%	1435.97%	98.83%	0.80%
Percent of Total Assets						
Accounts Receivable	0.00%	0.00%	0.00%	0.00%	0.00%	24.10
Inventory	0.00%	0.00%	0.00%	0.00%	0.00%	26.10
Other Short-term Assets	0.00%	0.00%	0.00%	0.00%	0.00%	29.70
Total Short-term Assets	99.99%	100.13%	102.60%	100.05%	100.03%	79.90
Long-term Assets	0.01%	-0.13%	-2.60%	-0.05%	-0.03%	20.10
Total Assets	100.00%	100.00%	100.00%	100.00%	100.00%	100.0
Short-term Liabilities	12.73%	14.02%	102.88%	5.29%	3.34%	35.90
Long-term Liabilities	0.00%	0.36%	0.97%	0.01%	0.00%	11.50
Total Liabilities	12.73%	14.38%	103.85%	5.30%	3.34%	47.40
Net Worth	87.27%	85.62%	-3.85%	94.70%	96.66%	52.60
Percent of Sales						
Sales	100.00%	100.00%	100.00%	100.00%	100.00%	100.0
Gross Margin	0.00%	80.00%	80.00%	80.00%	80.00%	36.40

Selling, General & Administrative Expenses	0.00%	1948.84%	97.54%	28.51%	26.33%	23.20
Advertising Expenses	0.00%	1111.11%	53.96%	3.51%	1.77%	1.00%
Profit Before Interest and Taxes	0.00%	-1868.77%	-17.53%	73.56%	76.67%	3.40%

Main Ratios						
Current	7.86	7.14	1.00	18.92	29.98	1.89
Quick	7.86	7.14	1.00	18.92	29.98	1.02
Total Debt to Total Assets	12.73%	14.38%	103.85%	5.30%	3.34%	52.30
Pre-tax Return on Assets	-447.00%	-449.63%	-260.01%	135.34%	93.15%	13.10
Pre-tax Return on Net Worth	-512.19%	-525.12%	6748.08%	142.91%	96.37%	6.20%

Business Vitality Profile	2002	2003	2004	2005	2006	Indus
Sales per Employee	$0	$1,626,506	$13,694,581	$122,000,000	$127,381,845	$127,
Survival Rate						75.30

Additional Ratios	2002	2003	2004	2005	2006	
Net Profit Margin	0.00%	-1868.84%	-17.54%	51.49%	53.67%	n.a
Return on Equity	-512.19%	-525.16%	0.00%	100.03%	67.46%	n.a

Activity Ratios						
Accounts Receivable Turnover	0.00	0.00	0.00	0.00	0.00	n.a

Collection Days	0	0	0	0	0	n.a
Inventory Turnover	0.00	0.00	0.00	0.00	0.00	n.a
Accounts Payable Turnover	16.85	16.85	16.85	16.85	16.85	n.a
Total Asset Turnover	0.00	0.24	14.83	1.84	1.21	n.a
Debt Ratios						
Debt to Net Worth	0.15	0.17	0.00	0.06	0.03	n.a
Short-term Liab. to Liab.	1.00	0.98	0.99	1.00	1.00	n.a
Liquidity Ratios						
Net Working Capital	$3,348,258	$483,134,243	($532,592)	$21,992,828,518	$67,567,564,399	n.a
Interest Coverage	-411640.80	-25125.44	-2548.98	182572.88	425822.39	n.a
Additional Ratios						
Assets to Sales	n.a.	4.16	0.07	0.54	0.82	n.a
Current Debt/Total Assets	13%	14%	103%	5%	3%	n.a
Acid Test	7.86	7.14	1.00	18.92	29.98	n.a
Sales/Net Worth	0.00	0.28	0.00	1.94	1.26	n.a
Dividend Payout	**$0**	**0.00**	**0.00**	**0.00**	**0.00**	**n.a**

17.7 Long-term Plan

18.0 Politics and External Affairs

SEAS considers these issues far more important to its survival and success than an ordinary company. ' a company disrupts the status quo, the more significant become the following:

- Media relations
- PR
- Political support and PAC's
- Support from opinion leaders in academia and think tanks.

In Phase II, SEAS will create and operate its own PAC, giving as generously as the law allows whe prudent investment dictates. We will create our own think tank, and will sponsor massive studies at reputable ones as well as at schools. We may endow chairs at top universities, to focus on the socia as technological or scientific aspects of this breakthrough.

SEAS plans to spend massively in support of the above, including:

$1MM for PR preceding our National Press Club rollout (?IT?, the mystery transportation device, h media interest for a year and established that a carefully orchestrated national media campaign can ; interest in a potential breakthrough technology.)

- $500K-1MM for political and government education.
- Hiring a VP of Government and External Affairs.
- Consitutional/National Security Legal Expertise.

Once the product is specified for manufacture and has been certified, we will announce it to the The forum will be the National Press Club, to be preceded by a massive PR campaign and fi by major media appearances. The event is tentatively entitled ?Disclosure II?the Solution to Oil?. While we will be careful not to blame all arabs, this will speak to the heart of the fund terrorist activities. Dr. Greer's first Disclosure Event?at the National Press Club, May 9 200 attracted 22 network cameras, and was the best-attended conference since Reagan spoke. It audience of ? million live viewers via webcast, and we estimate that hundreds of millions w heard of the Disclosure Project due to subsequent media coverage. It was featured on CNN News and World News, as well as BBC, Pravda and other major media organs. All of this w accomplished with less than $100K and volunteer efforts.

Realistically, with a major PR budget in seven figures, a top PR firm such as Hill & Knowlton, matter that ?hits people where they live? (what more so than energy security and terrorism), create a media feeding frenzy. This will introduce our device and our company to the world.

In Phase III, we estimate a $200MM budget for legal matters. It is realistic to expect massive ef diverse rivals to puncture SEAS position in multiple venues and by multiple prongs of attac will need to fend off the following kinds of challenges:

- Attempts to void patents on grounds of prior art, including fraudulent fabrications;
- Efforts to get regulatory agencies in the US and elsewhere to reconsider approvals grante withhold necessary.

The purpose of these expenditures will be not only to minimize and divert political opposition, I to encourage support for our broader aims amongst opinion leaders and the public. By winning constituency who understand that SEAS' success is really everybody's success, because without unity we have no sustainable future, we will ease the transition to a new world. (See also Apper Towards a Sustainable Environment).

19.0 The World to Come

Our VP corresponded with Nobel Laureate economist Dr. Milton Friedman on the topic of new energy. paraphrase Dr. Friedman, with proliferation of SEAS-type devices the world will shift from a context o to one of abundance. This projection flows rationally from the economic implications of widespread de of over unity energy technology.

Nobel Prize winning economic research has established that technology is the primary factor in econon growth. On the basis of cost of production, perhaps most significant of these are technologies enabling more energy per capita. When the cost of energy in all of its forms is tallied through the steps of produc proves the primary cost component in most manufactured goods, approximately 60%. By radically redı wasteful cost, productivity will be sharply enhanced, and the basis for future productivity enhancement strengthened.

This is not a linear enhancement. That is, cutting energy cost from 60% to 10% of production costs woı mean a 50% reduction in production costs or a doubling of production (though that would be highly sig Rather, it will drastically reduce the cost of finished goods, and demand will rise accordingly. This den initially enable existing production resources to operate at full capacity, and then new facilities will be : commissioned, creating further jobs.

Without energy as a limiting factor on production (either by cost or geographic avalability), manufactu facilities will be built in places presently unable to justify or sustain them. This will translate into new manufacturing jobs for every kind of manufactured good or component. This will in turn set off a multi effect in service jobs across the world's economy. In the future, growth in productivity will be enabled efficient processes due to the permanently reduced energy cost and absence of wasteful byproducts. Permanently higher growth rates will be sustainable.

With inexhaustible, clean, inexpensive energy, emerging robotics, asteroid mining, artificial intelligenc nanotechnology (all of which are sufficiently well understood today that practical use can be foreseen; is one of engineering rather than basic research), a world of abundance can be achieved within one to tv generations.

When paradigm-shifting technologies are introduced into third-world economies, it has been repeatedly demonstrated that those economies sustain double and even triple-digit rates of growth for long periods Further, according to Dr. Friedman, the introduction of paradigm-shifting over unity technologies into : called ?mature? or ?first-world? economies[1] will enable them to again sustain double or perhaps ever digit rates of growth, resulting in universal prosperity[2]. Second and third-world nations will soon foll especially if given a helping hand. The paradigm-shifting technology in this case is over unity energy.

In Dr. Friedman's view, we can create on a permanent, global basis the kind of civilization the Atheniaı enjoyed in their Golden Age, but with two crucial differences?the slaves will be mechanical rather than and no one will remain ?outside the window pane, looking in with envy'. Therefore, no economic motiv rebellion or mass conflict will remain[3].

We will have a world in which poverty and war have been relegated to the history books. The cooking terrorism will have its heat source turned down. People everywhere will be freed to devote themselves · pursuits of education, arts, sciences, spirituality and pleasure in all their benign forms. While some will choose avarice, hostility and even terror, the societal pressures that have fostered these will have disapp world of contentment and abundance will have little room for these.

Harvard University research shows that persons whose livelihood is something for which they have nat aptitude and sustaining passion are happiest and most successful. Such persons are often unable to disti their profession from recreation. Sadly, few people alive today have that good fortune. However, in the come with work no longer a crushing necessity to one's survival, everyone can have that chance.

Human ambition will remain, and there will still be individual conflict and unhappiness. But those forc today often pervert us *en masse* from the path of compassion and cooperation?continuous fear of impoverishment and personal ruin, wealth as proof of one's human value, strenuous work as life's domi activity, and the specter of economic collapse?will have been eradicated. A great physical and psycholo burden will have been lifted from our common daily experience, and some of the joy and innocence of childhood will survive into every adult's years of wisdom.

With unlimited opportunities for productivity and the end of scarcity, accumulation of wealth will even longer be meaningful. We anticipate that people will instead be measured by the magnitude of *gifts* the offer others, whether fruits of their creative endeavor or acts of kindness. We can only imagine the beau unrestricted progress made possible in such a society[4].

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[1] An artificial distinction and highly changeable; one might consider that the 20th century's mature ec the 21st century's third-world economy due to advancing technology.
[2] From the perspective of a highly advanced civilization, in which over unity and other emerging tech such as nanotechnology, artificial intelligence and robotics have been fully deployed, all of Earth's ?firs nations must seem as backward as the ?third world? seems to Americans, if not more so.
[3] According to the noted historical analytical text, ?The End of History?, never have two liberal demo fought a war. Always, at least one combatant has been a command economy. People gravitate towards : governments when uneducated, impoverished or at war, not when educated, prosperous and peaceful.
[4] To mention but a few possibilities: with the advent of antigravity, choreography in three dimensions becomes possible, as well as new forms of art and music in chambers optimally designed for experienc dimensions.

Planned Appendix Table

Sales Forecast

Sales	Jan	Feb	Mar	Apr	M
Foreign Residential and Small Business (Japan, Canada, Europe)	$0	$0	$0	$0	$0
US Residential (new construction)	$0	$0	$0	$0	$0
US Residential (retrofit)	$0	$0	$0	$0	$0

US Small Business	$0	$0	$0	$0	$0
Total Sales	$0	$0	$0	$0	$0

Direct Cost of Sales	Jan	Feb	Mar	Apr	M
Foreign Residential and Small Business (Japan, Canada, Europe)	$0	$0	$0	$0	$0
US Residential (new construction)	$0	$0	$0	$0	$0
US Residential (retrofit)	$0	$0	$0	$0	$0
US Small Business	$0	$0	$0	$0	$0
Subtotal Direct Cost of Sales	**$0**	**$0**	**$0**	**$0**	**$0**

Planned Appendix Table

Personnel Plan

	Jan	Feb	Mar	Apr	May	Jun	Jul
President and CEO	$0	$0	$0	$0	$0	$12,000	$12,000
EVP and Chief Operating Officer	$0	$0	$0	$0	$0	$8,000	$8,000
VP Planning/Product Development	$0	$2,500	$2,500	$2,500	$2,500	$6,000	$6,000
VP Finance and CFO	$0	$0	$0	$0	$0	$0	$0
VP Legal Affairs/General Counsel	$0	$0	$0	$0	$0	$0	$0
VP R&D and CTO	$0	$0	$0	$0	$0	$6,000	$6,000
VP Marketing and Corporate Alliances	$0	$0	$0	$0	$0	$0	$0
VP Corporate Security	$0	$0	$0	$0	$0	$6,000	$6,000
VP Human Resources	$0	$0	$0	$0	$0	$0	$0
VP Operations	$0	$0	$0	$0	$0	$0	$0

VP Government and External Affairs	$0	$0	$0	$0	$0	$0	$0
Assistant Vice Presidents & Managers	$0	$0	$0	$0	$0	$0	$0
Staff and Support Personnel	$0	$0	$0	$0	$0	$3,000	$3,000
Total Payroll	$0	$2,500	$2,500	$2,500	$2,500	$41,000	$41,00
Total People	2	2	2	2	2	6	6
Payroll Burden	$0	$750	$750	$750	$750	$12,300	$12,30
Total Payroll Expenditures	**$0**	**$3,250**	**$3,250**	**$3,250**	**$3,250**	**$53,300**	**$53,30**

Planned Appendix Tabl

General Assumptions

	Jan	Feb	Mar	Apr	May	Jun	Jul
Short-term Interest Rate %	10.00%	10.00%	10.00%	10.00%	10.00%	10.00%	10.
Long-term Interest Rate %	10.00%	10.00%	10.00%	10.00%	10.00%	10.00%	10.
Tax Rate %	30.00%	30.00%	30.00%	30.00%	30.00%	30.00%	30.
Expenses in Cash %	50.00%	50.00%	50.00%	50.00%	50.00%	50.00%	50.
Sales on Credit %	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	10(
Personnel Burden %	**30.00%**	**30.00%**	**30.00%**	**30.00%**	**30.00%**	**30.00%**	**30.**

Planned Appendix Tabl

Pro Forma Profit and Loss

	Jan	Feb	Mar	Apr	May	Jun	Jul
Sales	$0	$0	$0	$0	$0	$0	$0
Direct Cost of Sales	$0	$0	$0	$0	$0	$0	$0
Other Production Expenses	$0	$0	$0	$0	$0	$0	$0
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Total Cost of Sales	$0	$0	$0	$0	$0	$0	$0
Gross Margin	$0	$0	$0	$0	$0	$0	$0
Gross Margin %	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.0
Operating Expenses:							
Advertising/Promotion	$0	$0	$0	$0	$0	$100,000	$50
Lobbying and PAC funds	$0	$0	$0	$0	$0	$0	$0
Travel & Entertainment	$3,000	$2,500	$2,500	$0	$0	$0	$20
Office Equipment	$0	$0	$0	$0	$0	$20,000	$0
Security Measures	$0	$0	$0	$0	$0	$1,000,000	$2,
Regulatory Testing and Clearances	$0	$0	$0	$0	$0	$250,000	$50
Lab Equipment and Facilities	$0	$0	$0	$0	$0	$200,000	$20
Miscellaneous	$0	$2,000	$1,000	$1,000	$1,000	$0	$0
Payroll Expense	$0	$2,500	$2,500	$2,500	$2,500	$41,000	$41
Payroll Burden	$0	$750	$750	$750	$750	$12,300	$12
Depreciation	$0	$0	$0	$0	$0	$0	$0
Utilities	$0	$0	$0	$0	$0	$500	$50
Insurance	$0	$0	$0	$0	$0	$5,000	$5,
Rent	$0	$0	$0	$0	$0	$5,000	$5,
Accounting	$0	$0	$0	$0	$0	$25,000	$25
Legal (non-patent)	$0	$0	$3,000	$3,000	$25,000	$1,000,000	$50
Patents	$0	$3,000	$0	$0	$0	$1,000,000	$0
Contract/Consultants	$0	$12,000	$0	$9,000	$6,000	$0	$10
R&D	$0	$0	$0	$100,000	$100,000	$100,000	$0
Contingency	$0	$0	$5,000	$5,000	$30,000	$60,000	$10
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Total Operating Expenses	$3,000	$22,750	$14,750	$121,250	$165,250	$3,818,800	$4,
Profit Before Interest and Taxes	($3,000)	($22,750)	($14,750)	($121,250)	($165,250)	($3,818,800)	($4
Interest Expense Short-term	$21	$21	$0	$0	$0	$0	$0
Interest Expense Long-term	$0	$0	$0	$0	$0	$0	$0
Taxes Incurred	$0	$0	$0	$0	$0	$0	$0
Extraordinary Items	$0	$0	$0	$0	$0	$0	$0
Net Profit	($3,021)	($22,771)	($14,750)	($121,250)	($165,250)	($3,818,800)	($4
Net Profit/Sales	**0.00%**	**0.00%**	**0.00%**	**0.00%**	**0.00%**	**0.00%**	**0.0**

Planned Appendix Table

Pro Forma Cash Flow

Cash Received								
Cash from Operations:								
Cash Sales		$0	$0	$0	$0	$0	$0	$0
From Receivables		$0	$0	$0	$0	$0	$0	$0
Subtotal Cash from Operations		$0	$0	$0	$0	$0	$0	$0
Additional Cash Received								
Extraordinary Items		$0	$0	$0	$0	$0	$0	$0
Sales Tax, VAT, HST/GST Received	0.00%	$0	$0	$0	$0	$0	$0	$0
New Current Borrowing		$2,500	$0	$0	$0	$0	$0	$0

New Other Liabilities (interest-free)	$0	$0	$0	$0	$0	$0	$0
New Long-term Liabilities	$0	$0	$0	$0	$0	$0	$0
Sales of other Short-term Assets	$0	$0	$0	$0	$0	$0	$0
Sales of Long-term Assets	$0	$0	$0	$0	$0	$0	$0
New Investment Received	$0	$150,000	$150,000	$200,000	$0	$20,000,000	$0
Subtotal Cash Received	$2,500	$150,000	$150,000	$200,000	$0	$20,000,000	$0
Expenditures	Jan	Feb	Mar	Apr	May	Jun	Jul
Expenditures from Operations:							
Cash Spent on Costs and Expenses	$1,510	$9,760	$5,750	$59,000	$81,000	$1,882,750	$2,067,
Wages, Salaries, Payroll Taxes, etc.	$0	$3,250	$3,250	$3,250	$3,250	$53,300	$53,30(
Payment of Accounts Payable	$50	$1,785	$9,627	$7,525	$59,733	$141,058	$1,888,
Subtotal Spent on Operations	$1,561	$14,796	$18,627	$69,775	$143,983	$2,077,108	$4,009,
Additional Cash Spent							
Sales Tax, VAT, HST/GST Paid Out	$0	$0	$0	$0	$0	$0	$0
Principal	$0	$0	$2,500	$0	$0	$0	$0

Repayment of Current Borrowing							
Other Liabilities Principal Repayment	$0	$0	$0	$0	$0	$0	$0
Long-term Liabilities Principal Repayment	$0	$0	$0	$0	$0	$0	$0
Purchase Other Short-term Assets	$0	$0	$0	$0	$0	$0	$0
Purchase Long-term Assets	$0	$0	$0	$0	$0	$0	$0
Dividends	$0	$0	$0	$0	$0	$0	$0
Adjustment for Assets Purchased on Credit	$0	$0	$0	$0	$0	$0	$0
Subtotal Cash Spent	$1,561	$14,796	$21,127	$69,775	$143,983	$2,077,108	$4,009,
Net Cash Flow	$939	$135,204	$128,873	$130,225	($143,983)	$17,922,892	($4,009
Cash Balance	**$939**	**$136,143**	**$265,017**	**$395,242**	**$251,258**	**$18,174,150**	**$14,16**

Planned Appendix Table

Pro Forma Balance Sheet

Assets

Short-term Assets	Starting Balances	Jan	Feb	Mar	Apr	May	Jun	Jul
Cash	$0	$939	$136,143	$265,017	$395,242	$251,258	$18,174,150	$14,16
Accounts Receivable	$0	$0	$0	$0	$0	$0	$0	$0
Inventory	$0	$0	$0	$0	$0	$0	$0	$0
Other Short-	$0	$0	$0	$0	$0	$0	$0	$0

term Assets								
Total Short-term Assets	$0	$939	$136,143	$265,017	$395,242	$251,258	$18,174,150	$14,164
Long-term Assets								
Long-term Assets	$425	$425	$425	$425	$425	$425	$425	$425
Accumulated Depreciation	$0	$0	$0	$0	$0	$0	$0	$0
Total Long-term Assets	$425	$425	$425	$425	$425	$425	$425	$425
Total Assets	$425	$1,364	$136,568	$265,442	$395,667	$251,683	$18,174,575	$14,164

Liabilities and Capital								
		Jan	Feb	Mar	Apr	May	Jun	Jul
Accounts Payable	$0	$1,460	$9,435	$5,558	$57,033	$78,300	$1,819,992	$1,998,
Current Borrowing	$0	$2,500	$2,500	$0	$0	$0	$0	$0
Other Short-term Liabilities	$0	$0	$0	$0	$0	$0	$0	$0
Subtotal Short-term Liabilities	$0	$3,960	$11,935	$5,558	$57,033	$78,300	$1,819,992	$1,998,
Long-term Liabilities	$0	$0	$0	$0	$0	$0	$0	$0
Total Liabilities	$0	$3,960	$11,935	$5,558	$57,033	$78,300	$1,819,992	$1,998,
Paid-in Capital	$6,425	$6,425	$156,425	$306,425	$506,425	$506,425	$20,506,425	$20,506
Retained Earnings	($6,000)	($6,000)	($6,000)	($6,000)	($6,000)	($6,000)	($6,000)	($6,000
Earnings	$0	($3,021)	($25,792)	($40,542)	($161,792)	($327,042)	($4,145,842)	($8,334
Total Capital	$425	($2,596)	$124,633	$259,883	$338,633	$173,383	$16,354,583	$12,165

Total Liabilities and Capital	$425	$1,364	$136,568	$265,442	$395,667	$251,683	$18,174,575	$14,16
Net Worth	**$425**	**($2,596)**	**$124,633**	**$259,883**	**$338,633**	**$173,383**	**$16,354,583**	**$12,16**